CHAPTER 32.

Income Tax Act, 1945.

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An Act to amend the law relating to income tax in certain respects. [15th June 1945.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

PART I.

INDUSTRIAL BUILDINGS AND STRUCTURES, ETC.

Initial allowances.

1.—(1) Subject to the provisions of this Act, where, on or after the appointed day, a person incurs capital expenditure on the construction of a building or structure which is to be an industrial building or structure occupied for the purposes of a trade carried on either by him or by such a lessee as is hereinafter mentioned, there shall be made to the person who incurred the expenditure, for the year of assessment hereinafter mentioned, an allowance (in this Part of this Act referred to as " an initial allowance ") equal to one-tenth thereof.

The said lessees are lessees occupying the building or structure on the construction of which the expenditure was incurred under a lease to which the relevant interest, as defined for the purposes of this Part of this Act, is reversionary.

(2) The said year of assessment shall, in the case of a person incurring expenditure, be the year of assessment in his basis period for which the expenditure was incurred:

Provided that where the first use to which the building or structure is put is a use by a person occupying it by virtue of a tenancy to which the relevant interest is reversionary, and the tenancy begins after the incurring of the expenditure, the said year of assessment shall be the year of assessment in which the tenancy begins.

(3) The preceding provisions of this section shall apply in relation to expenditure incurred by a person on or after the sixth day of April, nineteen hundred and forty-four, but before

the appointed day, as if it had been incurred by him on the appointed day:

Provided that—

(*a*) the amount by reference to which the initial allowance is to be calculated shall, instead of being the amount of the expenditure, be the amount thereof less the total amount of the relevant mills, factories and exceptional depreciation allowances made for years of assessment before that in which the appointed day falls; and

(*b*) no initial allowance shall be allowed if—

(i) before the appointed day, the relevant interest in the building or structure is sold or, being a leasehold interest, comes to an end otherwise than on the person entitled thereto acquiring the interest which is reversionary thereon; or

(ii) before the appointed day, the building or structure is demolished or is destroyed; or

(iii) at any time before the appointed day the building or structure is, but on the appointed day the building or structure is not, an industrial building or structure.

(4) Notwithstanding anything in this section, no initial allowance shall be made in respect of any expenditure if, when the building or structure comes to be used, it is not an industrial building or structure, and where an initial allowance has been granted in respect of any expenditure otherwise than in accordance with the provisions of this section, all such additional assessments shall be made as are necessary to secure that effect is given to those provisions.

(5) Any expenditure incurred on or after the sixth day of April, nineteen hundred and forty-four, for the purposes of a trade by a person about to carry it on shall be treated for the purposes of the preceding provisions of this section as if it had been incurred by that person on the first day on which he does carry it on.

Annual allowances.

2.—(1) Subject to the provisions of this Act, where—

(*a*) any person is, at the end of his basis period for the year of assessment in which the appointed day falls or any subsequent year of assessment, entitled to an interest in a building or structure; and

(*b*) at the end of the said basis period, the building or structure is an industrial building or structure; and

(*c*) that interest is the relevant interest in relation to the capital expenditure incurred on the construction of that building or structure,

PART I. —*cont.*

an allowance (in this Part of this Act referred to as " an annual allowance ") equal to one-fiftieth of that expenditure shall be made to him for that year of assessment.

(2) Where, at any time on or after the appointed day, the interest in a building or structure which is the relevant interest in relation to any expenditure is sold while the building or structure is an industrial building or structure, the annual allowance in respect of that expenditure shall, in the case of years of assessment the basis periods for which end after the time of that sale,—

(*a*) be computed by reference to the residue (as defined in the provisions of this Part of this Act relating to the writing off of expenditure) of that expenditure immediately after the sale; and

(*b*) be the fraction of the said residue the numerator of which is one and the denominator of which is the number of years of assessment comprised in the period which—

(i) begins with the first year of assessment for which the buyer is entitled to an annual allowance in respect of the expenditure or would be so entitled if the building or structure had at all material times continued to be an industrial building or structure; and

(ii) ends with the fiftieth year of assessment after that in which the building or structure was first used,

and so on for any subsequent sales.

(3) Notwithstanding anything in the preceding provisions of this section, in no case shall the amount of an annual allowance made to a person for any year of assessment in respect of any expenditure exceed what, apart from the writing off falling to be made by reason of the making of that allowance, would be the residue of that expenditure at the end of his basis period for that year of assessment.

Balancing allowances and balancing charges.

3.—(1) Where any capital expenditure has been incurred on the construction of a building or structure, and, on or after the appointed day, any of the following events occurs while the building or structure is an industrial building or structure, that is to say—

(*a*) the relevant interest in the building or structure is sold; or

(*b*) that interest, being an interest depending on the duration of a foreign concession, comes to an end on the coming to an end of that concession; or

(c) that interest, being a leasehold interest, comes to an end otherwise than on the person entitled thereto acquiring the interest which is reversionary thereon; or

PART I. —cont.

(d) the building or structure is demolished or destroyed, or, without being demolished or destroyed, ceases altogether to be used,

an allowance or charge (in this Part of this Act referred to as " a balancing allowance " or " a balancing charge ") shall, in the circumstances mentioned in this section, be made to, or, as the case may be, on, the person entitled to the relevant interest immediately before that event occurs, for the year of assessment in his basis period for which that event occurs:

Provided that no balancing allowance or balancing charge shall be made to or on any person for any year of assessment by reason of any event occurring after the end of his basis period for the fiftieth year of assessment after that in which the building or structure was first used.

(2) Where there are no sale, insurance, salvage or compensation moneys, or where the residue of the expenditure immediately before the event exceeds those moneys, a balancing allowance shall be made and the amount thereof shall be the amount of the said residue or, as the case may be, of the excess thereof over the said moneys.

(3) If the sale, insurance, salvage or compensation moneys exceed the residue, if any, of the expenditure immediately before the event, a balancing charge shall be made and the amount on which it is made shall be an amount equal to the excess, or, where the residue is nil, to the said moneys.

(4) If, for any of the relevant years of assessment (as defined for the purposes of this subsection), neither an annual allowance nor a scientific research allowance has been made, the two last preceding subsections shall have effect subject to the modification that the amount of the balancing allowance, or, as the case may be, the amount on which the balancing charge is to be made, shall be reduced by applying thereto the fraction, the numerator of which is the number of the relevant years of assessment for which an annual allowance or scientific research allowance has been made in respect of the expenditure and the denominator of which is the total number of the relevant years of assessment.

In this subsection, the expression " the relevant years of assessment " means all years of assessment after that in which the building or structure was first used for any purpose up to and including that in which the event takes place which gives rise to the allowance or charge:

PART I. —*cont.*

Provided that where, before the said event but on or after the appointed day, the building or structure has been sold while an industrial building or structure, the said expression means all years of assessment for which either—

(*a*) an annual allowance is made by reason of the building or structure being an industrial building or structure at any time between the sale and the event, or, where there has been more than one such sale, between the last such sale and the event; or

(*b*) an annual allowance would have fallen to be made if the building or structure had been an industrial building or structure at all times between the sale, or, as the case may be, the last such sale, and the event.

(5) Notwithstanding anything in the preceding provisions of this section, in no case shall the amount on which a balancing charge is made on a person in respect of any expenditure on the construction of a building or structure exceed the amount of the initial allowance, if any, made to him in respect of that expenditure together with the amount of any annual allowances or scientific research allowances in respect of that expenditure, and any relevant mills, factories or exceptional depreciation allowances in respect of that building or structure, made to him for years of assessment his basis periods for which end on or before the date of the event which gives rise to the charge.

Writing off of expenditure and meaning of "residue of expenditure."

4.—(1) Any expenditure incurred on the construction of any building or structure shall be deemed for the purposes of this Part of this Act to be written off to the extent and as at the times hereafter specified in this section, and references in this Part of this Act to the residue of any such expenditure shall be construed accordingly.

(2) If an initial allowance is made in respect of the expenditure, the amount of that allowance shall be written off as at the time when the building or structure is first used.

(3) If, by reason of the building or structure being at any time an industrial building or structure, an annual allowance is made for any year of assessment in respect of the expenditure, the amount of that allowance shall be written off as at the said time:

Provided that where at the said time an event occurs which gives rise or may give rise to a balancing allowance or balancing charge, the amount directed to be written off by this subsection as at the said time shall be taken into account in computing the residue of that expenditure immediately before that event for the purpose of determining whether any and if so what balancing allowance or balancing charge is to be made.

PART I. —*cont.*

(4) If a scientific research allowance is made for any year of assessment in respect of the expenditure, the amount of that allowance shall be written off, in the case of an allowance under section twenty-eight of the Finance Act, 1944, as at the end of the basis year (as defined in that section) for that year of assessment, and, in the case of an allowance under section twenty-nine of that Act, as at the time when the asset ceases to be used by the person in question for scientific research connected with the trade:

7 & 8 Geo. 6. c. 23.

Provided that where, at the time when an amount falls to be written off under this subsection, an event occurs which gives rise or may give rise to a balancing allowance or balancing charge, the amount directed to be written off by this subsection as at that time shall be taken into account in computing the residue of the expenditure immediately before that event for the purpose of determining whether any and if so what balancing allowance or balancing charge is to be made.

(5) If, in the case of any year of assessment after that in which the building or structure is first used, no annual allowance or scientific research allowance falls to be made to any person in respect of the expenditure, then, subject to the provisions of this and the next succeeding subsection, an amount equal to one-fiftieth of the expenditure shall be written off as at the end of the previous year of assessment:

Provided that—

(*a*) in the case of the year of assessment in which the appointed day falls or any subsequent year of assessment, this subsection shall not apply for any purpose if the building or structure was an industrial building or structure on the day preceding the beginning of the year of assessment; and

(*b*) where this subsection does apply in the case of the year of assessment in which the appointed day falls or any subsequent year of assessment, the amount to be written off shall, if the building or structure has been sold on or after the appointed day while an industrial building or structure, be the amount which would have fallen to be written off if—

(i) the building or structure had been an industrial building or structure in use on the said preceding day for the purposes of a trade carried on by a person entitled to the relevant interest in the building or structure; and

(ii) the basis period of that person for the year of assessment had ended on the said preceding day; and

PART I. —*cont.*

(iii) an annual allowance had been made to him for the year of assessment accordingly.

(6) If any relevant mills, factories or exceptional depreciation allowances are made in respect of the building or structure for any year of assessment before that in which the appointed day falls, and either—

(*a*) no amount falls to be written off under the last preceding subsection as at any date before the beginning of the year of assessment in which the appointed day falls; or

(*b*) the total amounts falling to be written off thereunder as at dates before the beginning of the year in which the appointed day falls are less than the total relevant mills, factories or exceptional depreciation allowances for years of assessment before that year,

an amount equal to the total relevant mills, factories or exceptional depreciation allowances or, as the case may be, to that total amount less the total amounts falling to be written off as aforesaid, shall be written off as at the end of the year of assessment immediately preceding that in which the appointed day falls.

(7) If, on the occasion of a sale, a balancing allowance is made in respect of the expenditure, there shall be written off as at the time of the sale the amount by which the residue of the expenditure before the sale exceeds the net proceeds of the sale.

(8) If, on the occasion of a sale, a balancing charge is made in respect of the expenditure, the residue of the expenditure shall be deemed for the purposes of this Part of this Act to be increased as at the time of the sale by the amount on which the charge is made.

(9) Where the Crown is at any time entitled to the relevant interest in a building or structure, the preceding provisions of this section shall have effect as if all such annual allowances, balancing allowances, mills, factories or exceptional depreciation allowances and balancing charges had been made as could have been made if—

(*a*) a person other than the Crown had been entitled to the relevant interest; and

(*b*) all things which, while the Crown is entitled to the relevant interest, have been done in relation to the building or structure by or to the Crown or by or to any person using the building or structure under the authority of the Crown, had been done by or to that other person, for the purposes of and in the course of a trade carried on by him; and

Part I. —*cont.*

(*c*) any sale or other disposition by or on behalf of the Crown of the relevant interest in the building or structure had been made in connection with the termination of that trade; and

(*d*) the basis periods of that other person in respect of that trade had, in the case of each year of assessment, ended immediately before the beginning of the year of assessment.

Buildings and structures bought unused.

5.—(1) Where expenditure is incurred on the construction of a building or structure and, before that building or structure is used, the relevant interest therein is sold—

(*a*) the expenditure actually incurred on the construction thereof shall be left out of account for the purposes of the preceding provisions of this Part of this Act; but

(*b*) the person who buys that interest shall be deemed for those purposes to have incurred, on the date when the purchase price becomes payable, expenditure on the construction thereof equal to the said expenditure or to the net price paid by him for the said interest, whichever is the less:

Provided that, where the relevant interest in the building or structure is sold more than once before the building or structure is used, the provisions of paragraph (*b*) of this section shall have effect only in relation to the last of those sales.

(2) Where the expenditure incurred on the construction of a building or structure was incurred by a person carrying on a trade which consists, as to the whole or any part thereof, in the construction of buildings or structures with a view to their sale, and, before the building or structure is used, he sells the relevant interest therein in the course of that trade, or, as the case may be, of that part of that trade, paragraph (*b*) of the preceding subsection shall have effect subject to the following modifications—

(*a*) if that sale is the only sale of the relevant interest before the building or structure is used, the said paragraph (*b*) shall have effect as if the words " the said expenditure or to " and the words " whichever is the less " were omitted; and

(*b*) in any other case, the said paragraph (*b*) shall have effect as if the reference to the expenditure actually incurred on the construction of the building or structure were a reference to the price paid on the said sale.

PART I. —*cont.*

Manner of making allowances and charges.

6.—(1) Except in the cases mentioned in the following provisions of this section, any allowance or charge made to or on a person under the preceding provisions of this Part of this Act shall be made to or on him in charging the profits or gains of his trade.

(2) An initial allowance shall be made to a person by way of discharge or repayment of tax if his interest in the building or structure is subject to any lease when the expenditure is incurred or becomes subject to any lease before the building or structure is first used for any purpose.

(3) An annual allowance shall be made to a person for a year of assessment by way of discharge or repayment of tax if his interest is subject to any lease at the end of his basis period for that year of assessment.

(4) A balancing allowance shall be made to a person by way of discharge or repayment of tax if his interest is subject to any lease immediately before the event giving rise to the allowance.

(5) A balancing charge shall be made on a person under Case VI of Schedule D if his interest is subject to any lease immediately before the event giving rise to the charge.

(6) Any allowance which, under the preceding provisions of this section, is to be made by way of discharge or repayment of tax shall be available primarily against the following income, that is to say—

(*a*) income taxed under Schedule A in respect of any premises which at any time in the year consist of or include an industrial building or structure; or

(*b*) any rent of any such premises as aforesaid charged to tax by virtue of section fifteen, section sixteen or section seventeen of the Finance Act, 1940; or

3 & 4 Geo. 6. c. 29.

(*c*) income which is the subject of a balancing charge under this Part of this Act.

Cessation of mills, factories allowances.

1 Edw. 8 & 1 Geo. 6. c. 54.

7.—(1) Subject to the provisions of this section, no allowance shall be made under section fifteen of the Finance Act, 1937 (which provides for an allowance for depreciation of mills, factories and other similar premises) for the year of assessment in which the appointed day falls or any subsequent year of assessment.

(2) Notwithstanding anything in the preceding subsection, if an allowance falls to be made under the said section fifteen in respect of any premises in the case of any trade for the last year of assessment before that in which the appointed day falls, an allowance shall, by virtue of this subsection, be made under and subject to the provisions of the said section fifteen

in respect of those premises for the year of assessment in which the appointed day falls and each of the next four years of assessment in the case of every trade carried on thereon: PART I. —*cont.*

Provided that if, at any time in the year of assessment in which the appointed day falls or any of the next four years of assessment, any person to whom an allowance would otherwise fall to be made under the said section for that year of assessment in respect of the premises, by notice in writing to the surveyor, elects that the said section fifteen shall no longer apply to the premises—

(*a*) no allowance shall be made under the said section fifteen for that or any subsequent year of assessment in the case of that person's trade; and

(*b*) no allowance shall be made under the said section fifteen for any year of assessment in the case of any trade carried on on those premises after that person's trade has ceased to be carried on thereon.

(3) Where by virtue of the last preceding subsection an allowance falls to be made under the said section fifteen for the year of assessment in which the appointed day falls or any subsequent year of assessment in the case of any trade, the other provisions of this Part of this Act shall have effect in relation to the premises in question as if the appointed day were postponed until the first day of the first year of assessment for which no allowance falls to be made under that section in the case of that or any other trade.

Definition of "industrial building or structure".

8.—(1) Subject to the provisions of this section, in this Part of this Act the expression "industrial building or structure" means a building or structure in use—

(*a*) for the purposes of a trade carried on in a mill, factory or other similar premises; or

(*b*) for the purposes of a transport, dock, inland navigation, water, electricity or hydraulic power undertaking; or

(*c*) for the purposes of a trade which consists in the manufacture of goods or materials or the subjection of goods or materials to any process; or

(*d*) for the purposes of a trade which consists in the storage—

(i) of goods or materials which are to be used in the manufacture of other goods or materials; or

(ii) of goods or materials which are to be subjected, in the course of a trade, to any process; or

(iii) of goods or materials which, having been manufactured or produced or subjected, in the

PART I. —*cont.*

course of a trade, to any process, have not yet been delivered to any purchaser; or

(iv) of goods or materials on their arrival by sea or air into any part of the United Kingdom; or

(*e*) for the purposes of a trade which consists in the working of any mine, oil well or other source of mineral deposits, or of a foreign plantation; or

(*f*) for the purposes of a trade consisting in all or any of the following activities, that is to say, ploughing or cultivating land (other than land in the occupation of the person carrying on the trade) or doing any other agricultural operation on such land, or threshing the crops of another person,

and, in particular, the said expression includes any building or structure provided by the person carrying on such a trade or undertaking for the welfare of workers employed in that trade or undertaking and in use for that purpose.

(2) The provisions of subsection (1) of this section shall apply in relation to a part of a trade or undertaking as they apply in relation to a trade or undertaking:

Provided that where part only of a trade or undertaking complies with the conditions set out in the said provisions, a building or structure shall not, by virtue of this subsection, be an industrial building or structure unless it is in use for the purposes of that part of that trade or undertaking.

(3) Notwithstanding anything in subsection (1) or subsection (2) of this section, but subject to the provisions of subsection (4) of this section, the expression "industrial building or structure" does not include any building or structure in use as, or as part of, a dwelling-house, retail shop, showroom, hotel or office or for any purpose ancillary to the purposes of a dwelling-house, retail shop, showroom, hotel or office:

Provided that this subsection shall not apply to, or to part of, a building or structure which was constructed for occupation by, or for the welfare of, persons employed at, or in connection with the working of, a mine, oil well or other source of mineral deposits, or for occupation by, or for the welfare of, persons employed on, or in connection with the growing and harvesting of the crops on, a foreign plantation, if the building or structure is likely to have little or no value to the person carrying on the trade when the mine, oil well or other source or the plantation is no longer worked, or will cease to belong to such person on the coming to an end of a foreign concession under which the mine, oil well or other source, or the plantation, is worked.

(4) Where part of the whole of a building or structure is, and part thereof is not, an industrial building or structure, and the capital expenditure which has been incurred on the construction of the second mentioned part is not more than one-tenth of the total capital expenditure which has been incurred on the construction of the whole building or structure, the whole building or structure and every part thereof shall be treated as an industrial building or structure. PART I. *—cont.*

(5) In this section, the following expressions have the meanings hereby respectively assigned to them, that is to say—

"retail shop" includes any premises of a similar character where retail trade or business (including repair work) is carried on;

"dock" includes any harbour, wharf, pier or jetty or other works in or at which vessels can ship or unship merchandise or passengers, not being a pier or jetty primarily used for recreation, and "dock undertaking" shall be construed accordingly;

"water undertaking" means an undertaking for the supply of water for public consumption;

"electricity undertaking" means an undertaking for the generation, transformation, conversion, transmission or distribution of electrical energy;

"hydraulic power undertaking" means an undertaking for the supply of hydraulic power;

"undertaking" does not include an undertaking not carried on by way of trade;

"foreign plantation" means any land outside the United Kingdom used for the growing and harvesting of crops;

"crops" includes any form of vegetable produce and "harvesting" includes the collection thereof, however effected.

Sports pavilions.

9. Where a building or structure which is not an industrial building or structure as defined in the last preceding section is occupied by the person carrying on a trade and used as a sports pavilion for the welfare of all or any of the workers employed in that trade, this Part of this Act shall apply in relation to that building or structure as if it were an industrial building or structure.

Meaning of "the relevant interest."

10.—(1) Subject to the provisions of this section, in this Part of this Act the expression "the relevant interest" means, in relation to any expenditure incurred on the construction of a building or structure, the interest in that building or structure to which the person who incurred the expenditure was entitled when he incurred it.

PART I. —*cont.*

(2) Where, when he incurs expenditure on the construction of a building or structure, a person is entitled to two or more interests in the building or structure, and one of those interests is an interest which is reversionary on all the others, that interest shall be the relevant interest for the purposes of this Part of this Act.

(3) An interest shall not cease to be the relevant interest for the purposes of this Part of this Act by reason of the creation of any lease or other interest to which that interest is subject, and where the relevant interest is a leasehold interest and is extinguished by reason of the surrender thereof, or on the person entitled thereto acquiring the interest which is reversionary thereon, the interest into which that leasehold interest merges shall thereupon become the relevant interest.

(4) Where the relevant interest is a leasehold interest which comes to an end before the appointed day and the last preceding subsection does not apply, the interest which is immediately reversionary thereon shall be deemed, for the purposes of the provisions of this Part of this Act in so far as they relate to annual allowances, balancing allowances and balancing charges, to have thereupon become the relevant interest.

Temporary disuse of industrial buildings or structures.

11.—(1) For the purposes of this Part of this Act, a building or structure shall not be deemed to cease altogether to be used by reason that it falls temporarily out of use on or after the appointed day, and where, immediately before any period of temporary disuse beginning on or after that day, a building or structure is an industrial building or structure, it shall be deemed to continue to be an industrial building or structure during the period of temporary disuse.

(2) Notwithstanding any other provision of this Act as to the manner of making allowances and charges, where by reason of the provisions of the preceding subsection a building or structure is deemed to continue to be an industrial building or structure while temporarily out of use, then if—

(*a*) upon the last occasion upon which the building or structure was in use as an industrial building or structure, it was in use for the purposes of a trade which has since been permanently discontinued; or

(*b*) upon the last occasion upon which the building or structure was in use as an industrial building or structure, the relevant interest therein was subject to a lease which has since come to an end,

any annual allowance or balancing allowance falling to be made to any person in respect of the building or structure during any period for which the temporary disuse continues after the discontinuance of the trade or the coming to an end of the lease shall be made by way of discharge or repayment of tax, and any balancing charge falling to be made on any person in respect of the building or structure during that period shall be made under Case VI of Schedule D.

PART I. —*cont.*

(3) The reference in this section to the permanent discontinuance of a trade does not include a reference to the happening of any event which, by virtue of any provisions in Rule 11 of the Rules applicable to Cases I and II of Schedule D, is to be treated as equivalent to the discontinuance of the trade.

Requisitioned land, holding over of leased land, and other special cases.

12.—(1) The provisions of this Part of this Act shall have effect in relation to any period of requisition of any land as if the Crown had been in possession of that land for that period by virtue of a lease, and any reference in this Part of this Act to the surrender of a lease or the extinguishment thereof on the person entitled thereto acquiring the interest which is reversionary thereon, or to the merger of a leasehold interest, shall be construed accordingly, and any sum paid to the Crown in respect of any building or structure constructed on any land during any period of requisition of that land, being a sum paid, whether by virtue of any enactment or otherwise, by the person who, subject to the rights of the Crown, is entitled to possession of the land, shall be deemed for the purposes of this Part of this Act to be a sum paid in consideration of the surrender of that lease:

Provided that where a person carrying on a trade is authorised by the Crown to occupy the land or any part thereof for the whole or any part of the period of requisition, the provisions of this Part of this Act shall have effect as if the Crown had granted a sub-lease to that person of that land or, as the case may be, that part thereof, for the period of requisition or, as the case may be, for that part of the period for which the said person occupies the land, and the preceding provisions of this subsection shall have effect in relation to that sub-lease as they have effect in relation to the lease therein mentioned, subject, however, to the modification that for the reference to any sum paid to the Crown there shall be substituted a reference to any sum paid to the said person.

In this subsection, the expression " period of requisition " means a period in respect of which compensation is, or, but for any agreement to the contrary, would be, payable under paragraph (*a*) of subsection (1) of section two of the Compensation (Defence) Act, 1939, by reference to the rent which might reasonably be expected to be payable under a lease granted immediately before the beginning of that period.

(2) Where, with the consent of the lessor, a lessee of any building or structure remains in possession thereof after the termination of the lease without a new lease being granted to

PART I. —*cont.*

him, that lease shall be deemed for the purposes of this Part of this Act to continue so long as he remains in possession as aforesaid.

(3) Where, on the termination of a lease, a new lease is granted to the lessee in pursuance of an option available to him under the terms of the first lease, the provisions of this Part of this Act shall have effect as if the second lease were a continuation of the first lease.

(4) Where, on the termination of a lease, the lessor pays any sum to the lessee in respect of a building or structure comprised in the lease, the provisions of this Part of this Act shall have effect as if the lease had come to an end by reason of the surrender thereof in consideration of the payment.

(5) Where, on the termination of a lease, another lease is granted to a different lessee and, in connection with the transaction, that lessee pays a sum to the person who was the lessee under the first lease, the provisions of this Part of this Act shall have effect as if both leases were the same lease and there had been an assignment thereof by the lessee under the first lease to the lessee under the second lease in consideration of the payment.

Exclusion of double allowances, etc.

13.—(1) No allowance shall be made under, or by virtue of, any of the provisions of this Part of this Act in respect of, or of premises including, or of expenditure on, a building or structure if, for the same or any previous or subsequent year of assessment, an allowance is or can be made under any of the provisions of Part II, Part III or Part IV of this Act in respect of, or of expenditure on, that building or structure.

(2) Without prejudice to the provisions of the preceding subsection, any reference in this Part of this Act to the incurring of expenditure on the construction of a building or structure does not include expenditure on the provision of machinery or plant or on any asset which has been treated for any year of assessment as machinery or plant.

Interpretation of Part I.

14.—(1) References in this Part of this Act to expenditure incurred on the construction of a building or structure do not include—

(*a*) any expenditure incurred on the acquisition of, or of rights in or over, any land; or

(*b*) any expenditure incurred on preparing, cutting, tunnelling or levelling any land:

Provided that paragraph (*b*) of this subsection shall not apply to expenditure on work done on the land to be covered by a building or structure for the purposes of preparing the land to receive the foundations of the building or structure, being work which may be expected to be valueless when the building or structure is demolished and not being work which consists of cutting or tunnelling.

PART I. —*cont.*

(2) A person who has incurred expenditure on the construction of a building or structure shall be deemed, for the purposes of any provision of this Part of this Act referring to his interest therein at the time when the expenditure was incurred, to have had the same interest therein as he would have had if the construction thereof had been completed at that time.

(3) Without prejudice to any of the other provisions of this Act relating to the apportionment of sale, insurance, salvage or compensation moneys, the sum paid on the sale of the relevant interest in a building or structure, or any other sale, insurance, salvage or compensation moneys payable in respect of any building or structure, shall, for the purposes of this Part of this Act, be deemed to be reduced by an amount equal to so much thereof, as, on a just apportionment, is attributable to assets representing expenditure other than expenditure in respect of which an allowance can be made under this Part of this Act.

PART II.

MACHINERY AND PLANT.

Initial allowances.

15.—(1) Where, on or after the appointed day, a person carrying on a trade incurs capital expenditure on the provision of machinery or plant for the purposes of the trade, there shall be made to him, for the year of assessment in the basis period for which the expenditure is incurred, an allowance (in this Part of this Act referred to as "an initial allowance") equal to one-fifth of the expenditure.

(2) Where, on or after the sixth day of April, nineteen hundred and forty-four, but before the appointed day, a person carrying on a trade incurs any capital expenditure on the provision of machinery or plant for the purposes of the trade, he shall be treated for the purposes of subsection (1) of this section as having incurred, on the appointed day, capital expenditure on the provision of that machinery or plant for those purposes equal to the amount of that expenditure less the total amount of any allowances made to him in respect of the machinery or plant under Rule 6 of the Rules applicable to Cases I and II of Schedule D for any year of assessment before that in which the appointed day falls and of any relevant exceptional depreciation allowances made to him in respect thereof for any such year:

Provided that this subsection shall not apply to any expenditure on the provision of machinery or plant if, on the appointed day, the machinery or plant is no longer owned

PART II. —*cont.*

by the person who incurred the expenditure or is out of use as being worn out or obsolete or otherwise useless or no longer required.

(3) Any expenditure incurred on or after the said sixth day of April for the purposes of a trade by a person about to carry it on shall be treated for the purposes of the preceding provisions of this section as if it had been incurred by that person on the first day on which he does carry it on.

(4) Where there is a contract for the sale of a ship and either—

(*a*) the price becomes payable before the said sixth day of April, but the ship is delivered in performance of the contract on or after that date; or

(*b*) the price is payable in instalments, some of which are payable before that date and some of which are payable on or after that date,

so much of the price as becomes payable before that date shall for the purposes of this section be deemed to have become payable on that date.

Amendment of allowances under Rule 6 of Rules applicable to Cases I and II of Schedule D.

16.—(1) For the purposes of paragraph (1) of Rule 6 of the Rules applicable to Cases I and II of Schedule D (which provides for a deduction in respect of the diminished value of machinery or plant by reason of wear and tear during the year of assessment) the machinery or plant in use at the end of the basis period shall, in the case of the year of assessment in which the appointed day falls or any subsequent year of assessment, be taken to be the machinery or plant used for the purposes of the trade during the year.

(2) The amount of any deduction under the said Rule 6 shall, in the case of the year of assessment in which the appointed day falls or any subsequent year of assessment, be computed as if paragraph (1) of the said Rule 6 had provided, in relation to any such years, for a deduction equal to five-fourths of the amount considered by the Commissioners having jurisdiction in the matter to be just and reasonable as representing the diminished value by reason of wear and tear during the year of the machinery and plant, and no additional deduction shall be made for any of those years under section eighteen of the Finance Act, 1932 (which, as amended by section twenty-two of the Finance Act, 1938, provides for an additional deduction equal to one-fifth of the deduction under the said Rule 6):

22 & 23 Geo. 5. c. 25.
1 & 2 Geo. 6. c. 46.

Provided that if, in the case of a trade which consists of or includes the working of a mine, oil well or other source of mineral deposits of a wasting nature, the person carrying on the trade so elects, the deduction to be allowed in respect of machinery or plant used in connection with the working of the source shall, instead of being five-fourths of the amount aforesaid, be such sum as is considered by the Commissioners to be just and reasonable having regard to the date when the source is likely to cease to be worked and the probable value of the machinery or plant at that date to the person carrying on the trade.

(3) In the case of machinery or plant provided on or after the appointed day—

(*a*) in considering what deduction is to be allowed under Rule 6 of the Rules applicable to Cases I and II of Schedule D, there shall be left out of account a proportion of the machinery or plant equal to the proportion of the expenditure on the provision thereof which is or is to be met directly or indirectly by the Crown or any government or public or local authority, whether in the United Kingdom or elsewhere, or by any person other than the person providing the machinery or plant; and

(*b*) the deduction allowed under the said Rule 6 for any year of assessment shall not exceed what, apart from any deduction which falls to be made under the said Rule for that year, would be the amount of the capital expenditure on the provision of the machinery or plant still unallowed as at the beginning of the year.

(4) Where, in considering whether any, and, if so, what, deduction is to be allowed in respect of any machinery or plant under the said Rule 6 or under Rule 7 of the said Rules, account falls to be taken of deductions previously allowed under the said Rule 6, any initial allowance granted in respect of the machinery or plant shall be taken into account as if it were a deduction allowed under the said Rule 6.

Balancing allowances and balancing charges.

17.—(1) Subject to the provisions of this section, where, on or after the appointed day, any of the following events occurs in the case of any machinery or plant in respect of which an initial allowance or a deduction under Rule 6 of the Rules applicable to Cases I and II of Schedule D has been made or allowed for any year of assessment to a person carrying on a trade, that is to say, either—

(*a*) the machinery or plant is sold, whether while still in use or not; or

(*b*) the machinery or plant, whether still in use or not, ceases to belong to the person carrying on the trade by reason of the coming to an end of a foreign concession; or

(*c*) the machinery or plant is destroyed; or

PART II. —*cont.*

(*d*) the machinery or plant is put out of use as being worn out or obsolete or otherwise useless or no longer required,

and the event in question occurs before the trade is permanently discontinued, an allowance or charge (in this Part of this Act referred to as " a balancing allowance " or " a balancing charge ") shall, in the circumstances mentioned in this section, be made to, or, as the case may be, on, that person for the year of assessment in his basis period for which that event occurs:

Provided that where either—

(i) the trade consists of or includes the working of a mine, oil well or other source of mineral deposits of a wasting nature, and any deduction allowed for any year of assessment in respect of the machinery or plant has been calculated in accordance with the proviso to subsection (2) of the last preceding section; or

(ii) the event in question is the machinery or plant ceasing to belong to the person carrying on the trade on the coming to an end of a foreign concession,

a balancing allowance or a balancing charge may, in the circumstances mentioned in this section, be made in respect of the machinery or plant notwithstanding that the event in question occurs at a time when the trade is permanently discontinued.

Any reference in this subsection to the permanent discontinuance of a trade does not include a reference to the happening of any event which, by virtue of any of the provisions of Rule 11 of the Rules applicable to Cases I and II of Schedule D, is to be treated as equivalent to the discontinuance of the trade.

(2) Where there are no sale, insurance, salvage or compensation moneys or where the amount of the capital expenditure of the person in question on the provision of the plant or machinery still unallowed as at the time of the event exceeds those moneys, a balancing allowance shall be made, and the amount thereof shall be the amount of the expenditure still unallowed as aforesaid, or, as the case may be, of the excess thereof over the said moneys.

(3) If the sale, insurance, salvage or compensation moneys exceed the amount, if any, of the said expenditure still unallowed as at the time of the event, a balancing charge shall be made, and the amount on which it is made shall be an amount equal to the excess or, where the said amount still unallowed is nil, to the said moneys:

PART II.—cont.

Provided that where the loss of a ship is due to a war risk connected with any war in which His Majesty is engaged at the date of the passing of this Act, or to the carriage, in connection with any such war, of explosives or other dangerous cargo in a manner which would be abnormal in time of peace, then, whether the loss occurs before or after the conclusion of, or of hostilities in, that war, no balancing charge shall be made by reason of the loss in respect of expenditure on the ship.

In this subsection, the expression " war risk " means any risk falling within the definition of " war risks " contained in the form of policy set out in the First Schedule to an agreement for re-insurance of British ships made by the Minister of War Transport on the sixteenth day of September, nineteen hundred and forty-three, a copy of which was laid before each House of Parliament on the fourth day of November, nineteen hundred and forty-three, in pursuance of subsection (2) of section one of the War Risks Insurance Act, 1939. 2 & 3 Geo. 6. c. 57.

(4) Notwithstanding anything in the last preceding subsection, in no case shall the amount on which a balancing charge is made on a person exceed the aggregate of the following amounts, that is to say—

(*a*) the amount of the initial allowance, if any, made to him in respect of the expenditure in question;

(*b*) the amount of any deductions allowed to him in respect of the machinery or plant in question under Rule 6 of the Rules applicable to Cases I and II of Schedule D;

(*c*) the amount of any additional deductions allowed to him under section eighteen of the Finance Act, 1932, or under that section as amended by section twenty-two of the Finance Act, 1938, in respect of the machinery or plant;

(*d*) the amount of any relevant exceptional depreciation allowance made to him in respect of the machinery or plant;

(*e*) the amount of any scientific research allowances made to him in respect of the expenditure; and

(*f*) the amount of any balancing allowance previously made to him in respect of the expenditure.

18.—(1) Where machinery or plant in the case of which any of the events mentioned in subsection (1) of the last preceding section has occurred is replaced by the owner thereof and a balancing charge falls to be made on him by reason of that event, or, but for the provisions of this subsection, would have fallen to be made on him by reason thereof, then, if by notice

Replacement of machinery or plant.

PART II. —*cont.*

in writing to the surveyor he so elects, the following provisions shall have effect, that is to say—

(*a*) if the amount on which the charge would have been made is greater than the capital expenditure on providing the new machinery or plant—

(i) the charge shall be made only on an amount equal to the difference; and

(ii) no initial allowance, no balancing allowance and no deduction under the said Rule 6 shall be made or allowed in respect of the new machinery or plant or the expenditure on the provision thereof; and

(iii) in considering whether any, and, if so, what, balancing charge falls to be made in respect of the expenditure on the new machinery or plant, there shall be deemed to have been made in respect of that expenditure an initial allowance equal to the full amount of that expenditure;

(*b*) if the capital expenditure on providing the new machinery or plant is equal to or greater than the amount on which the charge would have been made—

(i) the charge shall not be made; and

(ii) the amount of any initial allowance in respect of the said expenditure shall be calculated as if the expenditure had been reduced by the amount on which the charge would have been made; and

(iii) in considering what deduction is to be allowed under the said Rule 6 in respect of the new machinery or plant, there shall be left out of account a proportion of the machinery or plant equal to the proportion which the amount on which the charge would have been made bears to the amount of the said expenditure; and

(iv) in considering whether any, and, if so, what, balancing allowance or balancing charge falls to be made in respect of the new machinery or plant, the initial allowance granted in respect thereof shall be deemed to have been increased by an amount equal to the amount on which the charge would have been made.

(2) Rule 7 of the Rules applicable to Cases I and II of Schedule D (which provides for an obsolescence allowance)—

(*a*) shall not have effect in the case of any replacement of plant or machinery provided on or after the appointed day;

PART II. —*cont.*

(*b*) shall, in the case of the replacement on or after the appointed day of machinery or plant provided before the appointed day, have effect only if the person carrying on the trade by notice in writing to the surveyor elects that it shall have effect in relation thereto,

and where any such election is made as is mentioned in paragraph (*b*) of this subsection, no balancing allowance shall be made in respect of the sale, destruction or putting out of use of the machinery or plant which is replaced.

Meaning of "expenditure unallowed."

19. References in this Part of this Act to the amount still unallowed of any expenditure as at any time shall be construed as references to the amount of that expenditure less—

(*a*) the initial allowance, if any, made in respect thereof to the person who incurred it;

(*b*) any deductions allowed to that person in respect of the machinery or plant on the provision of which the expenditure was incurred under Rule 6 of the Rules applicable to Cases I and II of Schedule D, under section eighteen of the Finance Act, 1932, or under that section as amended by section twenty-two of the Finance Act, 1938, being deductions allowed for a year of assessment before that in which the appointed day falls or for a year of assessment the basis period for which ended before the time in question;

(*c*) any relevant exceptional depreciation allowance made to him in respect of that machinery or plant;

(*d*) any scientific research allowance made to him in respect of that machinery or plant; and

(*e*) any balancing allowance made to him in respect of the expenditure:

Provided that where the profits or gains of a company or society from any trade include any income which is chargeable to tax by virtue of the provisions of subsection (1) or subsection (2) of section thirty-one of the Finance Act, 1933 (which charges income tax on mutual profits) but which is not otherwise chargeable to tax, then, in computing the amount of any expenditure which is still unallowed as aforesaid, there shall be deemed to have been allowed, for all years of assessment before the year 1933-34, all such deductions for wear and tear (but not including any additional deduction under section eighteen of the Finance Act, 1932) as would have been allowable in charging profits or gains which would have been chargeable if the said subsections (1) and (2) had been in force throughout those years.

23 & 24 Geo. 5. c. 19.

PART II. —*cont.*

Application to lessors.

20.—(1) Where machinery or plant is let upon such terms that the burden of the wear and tear thereof falls directly upon the lessor, there shall be made to him, for the year of assessment in which the appointed day falls and every subsequent year of assessment, an allowance equal to five-fourths of the amount considered by the Commissioners having jurisdiction in the matter to be just and reasonable as representing the diminished value by reason of wear and tear, during so much of the period of the letting as falls within the year, of so much of the machinery or plant as is in use at the end of the year.

(2) Paragraph (5) of Rule 6 of the Rules applicable to Cases I and II of Schedule D shall not have effect in relation to the year of assessment in which the appointed day falls or any subsequent year of assessment, and the preceding provisions of this Part of this Act and the remaining provisions of the said Rule 6 shall apply in relation to any such lessor of machinery or plant as is mentioned in subsection (1) of this section as if the machinery or plant were, during the period of the letting, in use for the purposes of a trade carried on by him, and as if any reference to deductions allowed under the said Rule 6 included a reference to any allowance made under the said subsection (1).

Expenditure on alterations to buildings in connection with installation of machinery or plant.

21.—(1) Where, on or after the appointed day, a person carrying on a trade incurs capital expenditure on alterations to an existing building incidental to the installation of machinery or plant for the purposes of the trade, the provisions of this Part of this Act and of Rule 6 of the Rules applicable to Cases I and II of Schedule D shall have effect as if the said expenditure were expenditure on the provision of that machinery or plant and as if the works representing that expenditure formed part of that machinery or plant.

(2) The preceding provisions of this section shall apply in relation to expenditure incurred by a person on or after the sixth day of April, nineteen hundred and forty-four, but before the appointed day, as if it had been incurred by him on the appointed day.

Manner of making allowances and charges.

22.—(1) Any allowance or charge made to or on any person under the preceding provisions of this Part of this Act shall, unless it is made under or by virtue of section twenty of this Act, be made to or on that person in charging the profits or gains of his trade.

(2) Any allowance made under or by virtue of section twenty of this Act shall be made by way of discharge or repayment of tax and shall be available primarily against income from the letting of machinery or plant.

(3) Any charge made under or by virtue of section twenty of this Act shall be made under Case VI of Schedule D.

Application to professions, etc., and profits received from occupation of land.

23.—(1) Subject to the provisions of this section, the preceding provisions of this Part of this Act shall, with any necessary adaptations, apply in relation to—

(*a*) professions, employments, vocations and offices; and

(*b*) the occupation of lands (including woodlands), where the profits or gains thereof are assessable otherwise than by reference to assessable value,

as they apply in relation to trades.

(2) Where the profits or gains arising to any person from the occupation of lands (including woodlands) have, for any year of assessment, been determined by reference to assessable value, the amount still unallowed, as at any time after the end of that year of assessment, of any expenditure incurred by that person on the provision of machinery or plant in connection with those lands shall be determined as if there had fallen to be made to him, for that year of assessment, the like deductions—

(*a*) under Rule 6 of the Rules applicable to Cases I and II of Schedule D; and

(*b*) under section eighteen of the Finance Act, 1932, or under that section as amended by section twenty-two of the Finance Act, 1938,

as would have fallen to be made if, for that year of assessment, the profits or gains arising from the occupation of the lands had been determined otherwise than by reference to assessable value.

Exclusion of double allowances.

24. No allowance shall be made under any of the provisions of this Part of this Act or under Rule 6 or Rule 7 of the Rules applicable to Cases I and II of Schedule D in respect of, or of the expenditure on, any machinery or plant if, for the same or any previous or subsequent year of assessment, an allowance is or can be made in respect of that expenditure under the provisions of Part IV of this Act.

PART III.

MINES, OIL WELLS, ETC.

Expenditure to which Part III applies.

25.—(1) In this Part of this Act, the expression " expenditure to which this Part of this Act applies " means capital expenditure incurred by any person in connection with the working of a mine, oil well or other source of mineral deposits of a wasting nature—

(*a*) on searching for or on discovering and testing deposits, or winning access thereto; or

PART III. —*cont.*

(*b*) on the construction of any works which are likely to be of little or no value when the source is no longer worked or, where the source is worked under a foreign concession, which are likely to become valueless when the concession comes to an end to the person working the source immediately before the concession comes to an end:

Provided that the said expression does not include—

(i) any expenditure on the acquisition of the site of the source, or of the site of any such works as aforesaid, or of rights in or over any such site;

(ii) any expenditure on the acquisition of, or of rights in or over, the deposits;

(iii) any expenditure on machinery or plant, or on any asset which has been treated for any year of assessment as machinery or plant;

(iv) any expenditure on works constructed wholly or mainly for subjecting the raw product of the source to any process, except a process designed for preparing the raw product for use as such;

(v) any expenditure on buildings or structures provided for occupation by or for the welfare of workers;

(vi) any expenditure on a building where the whole of the building was constructed for use as an office;

(vii) any expenditure on so much of a building or structure as was constructed for use as an office, unless the capital expenditure on the construction of the part of the building or structure constructed for use as an office was not more than one-tenth of the capital expenditure incurred on the construction of the whole of the building or structure.

(2) Any reference in this Part of this Act to assets representing any expenditure includes, in relation to expenditure on searching for, discovering and testing deposits, any results obtained from any search, exploration or inquiry upon which the expenditure was incurred.

Initial allowances.

26.—(1) Where, on or after the appointed day, a person carrying on a trade which consists of or includes the working of a mine, oil well or other source of mineral deposits of a wasting nature incurs for the purposes of the trade any expenditure to which this Part of this Act applies on the construction of works likely to have little or no value to him when the source is no longer worked, there shall be made to him for the year of assessment in the basis period for which the expenditure is incurred an allowance (in this Part of this Act referred to as " an initial allowance ") equal to one-tenth of that expenditure.

(2) The provisions of the preceding subsection shall apply in relation to expenditure incurred by a person on or after the sixth day of April, nineteen hundred and forty-four, but before the appointed day, as if it had been incurred by him on the appointed day:

PART III. —*cont.*

Provided that—

(*a*) in the case of expenditure on a building or structure, the amount by reference to which the initial allowance is to be calculated shall, instead of being the amount of the expenditure, be the amount of the expenditure less any relevant mills, factories and exceptional depreciation allowances made in respect of the building or structure for any year of assessment before that in which the appointed day falls; and

(*b*) no initial allowance shall be made in respect of any expenditure if the asset representing the expenditure has been sold between the date when the expenditure was incurred and the appointed day.

Annual allowances.

27.—(1) Where a person carrying on a trade which consists of or includes the working of any mine, oil well or other source of mineral deposits of a wasting nature has, at any time after the beginning of the appointed day and before the end of his basis period for any year of assessment, incurred for the purposes of that trade expenditure to which this Part of this Act applies, an allowance (in this Part of this Act referred to as "an annual allowance") shall be made to him for that year in respect of the whole of the expenditure to which this Part of this Act applies which he has incurred for the purposes of the trade and in connection with that source in the period which begins with the said day and ends with the end of the said basis period.

(2) The amount of the said allowance shall be the amount which results from applying to the residue of the expenditure the fraction of which—

(*a*) the numerator represents the output from the source in question in the basis period for the year in question; and

(*b*) the denominator represents the sum of that output and the total potential future output of the source, estimated as at the end of that period,

or the fraction one-twentieth, whichever is the greater.

(3) Where the source ceases to be worked or, in the case of a source worked under a foreign concession, the concession comes to an end, the person carrying on the trade may elect that the annual allowances, if any, for the year of assessment in which that event occurs and each of the five previous years

PART III. —*cont.* of assessment shall be computed as if the reference in the last preceding subsection to the total potential future output of the source estimated as at the end of the basis period were a reference to the actual output of the source between the end of the basis period and the happening of the said event, and the said allowances shall be computed accordingly, and, notwithstanding anything in the Income Tax Acts limiting the time for the making of assessments or the allowance of claims for repayment, all such repayments and additional assessments shall be made as are necessary to enable effect to be given to this subsection.

(4) Where, on the appointed day, a person is carrying on a trade which consists of or includes the working of a mine, oil well or other source of mineral deposits of a wasting nature, the preceding provisions of this section shall have effect as if he had on that day incurred for the purposes of the trade and in connection with the source expenditure to which this Part of this Act applies of the amount specified in the First Schedule to this Act:

Provided that if he considers that that amount is inadequate having regard to the dates on which expenditure to which this Part of this Act applies was actually incurred in connection with the source before the appointed day, he may apply to the General or Special Commissioners for relief, and those Commissioners may authorise such increase in that amount as may be appropriate.

(5) References in this section to the residue of any expenditure, in relation to the annual allowance to be made for any year of assessment, are references to the amount thereof which remains after deducting therefrom—

(*a*) any initial allowances made in respect of that expenditure or any part thereof for that or any previous year of assessment;

(*b*) any annual allowances made in respect of that expenditure or any part thereof for any previous year of assessment;

(*c*) where the expenditure consists of or includes expenditure on a building, any relevant exceptional depreciation allowances made in respect of the building for any previous year of assessment not earlier than that in which the appointed day falls; and

(*d*) subject to the provisions of the next succeeding section, if, before the end of the basis period for the year of assessment for which the allowance is to be made, any asset representing the expenditure is sold or demolished or destroyed, the sale, insurance, salvage or compensation moneys.

Part III. —*cont.*

Sale of source or part of source as going concern.

28.—(1) The provisions of this section shall have effect where—

(*a*) a person who is, on or after the appointed day, carrying on a trade which consists of or includes the working of a mine, oil well or other source of mineral deposits of a wasting nature sells assets representing expenditure to which this Part of this Act applies; and

(*b*) the buyer of those assets buys them for the purposes of a trade carried on or to be carried on by him, being a trade which consists of or includes the working of the whole or any part of the source in connection with which the assets were provided.

(2) If the net proceeds of the sale are less than the residue of the expenditure on the assets immediately before the sale, an allowance (in this Part of this Act referred to as " a balancing allowance ") shall be made to the seller, for the year of assessment in the basis period for which the sale took place, equal to the difference.

(3) If the net proceeds of the sale exceed the residue of the expenditure on the assets immediately before the sale, a charge (in this Part of this Act referred to as " a balancing charge ") shall be made on the seller, for the year of assessment in the basis period for which the sale took place, on the amount of the excess.

(4) If the source in connection with which the expenditure was incurred has been worked before the appointed day, the last two preceding subsections shall have effect subject to the modification that the amount of the balancing allowance or the amount on which the balancing charge is made shall be reduced by applying thereto the fraction of which the numerator represents the total output from the source in the period which begins with the appointed day and ends with the time of the sale, and the denominator represents the total output from the source up to the time of the sale:

Provided that if the person to whom a balancing allowance is to be made in respect of any expenditure considers that the amount by which the allowance is to be reduced under this subsection is excessive having regard to the dates on which the expenditure was actually incurred, he may apply to the General or Special Commissioners for relief, and those Commissioners may authorise such smaller reduction as may be appropriate.

(5) In no case shall the amount on which a balancing charge is made upon a person in respect of any assets exceed the difference between—

(*a*) the expenditure to which this Part of this Act applies which he incurred upon the assets; and

PART III. —*cont.*

(*b*) the residue of that expenditure immediately before the sale.

(6) Whether a balancing allowance or balancing charge is made upon the seller or not, the deduction to be made in the case of the seller in respect of the assets under paragraph (*d*) of subsection (5) of the last preceding section shall, instead of being the sale, insurance, salvage or compensation moneys, be the residue of the expenditure attributable to the assets immediately before the sale.

(7) The buyer shall, for the purposes of the provisions of this Part of this Act relating to annual allowances, balancing allowances and balancing charges, be deemed to have incurred on the assets at the time of the sale expenditure to which this Part of this Act applies equal to whichever is the less of the following amounts, that is to say—

(*a*) so much of the price as is attributable to the assets; and

(*b*) the residue of the expenditure on the assets immediately after the sale.

Application to expenditure incurred by persons not engaged in the trade of mining, etc.

29.—(1) Any expenditure incurred for the purposes of a trade by a person about to carry it on shall be treated for the purposes of this Part of this Act as if it had been incurred by that person on the first day on which he does carry it on:

Provided that nothing in this subsection shall authorise the making of an initial allowance in respect of any expenditure incurred before the sixth day of April, nineteen hundred and forty-four.

(2) Where a person incurs expenditure to which this Part of this Act applies on searching for, discovering and testing the mineral deposits of any mine, oil well or other source of a wasting nature and winning access to those deposits, and, without having carried on any trade which consists of or includes the working of the source, he sells any assets representing that expenditure, then, if the person who acquires the assets carries on such a trade as aforesaid in connection with the source, that person shall, for the purposes of this Part of this Act, be deemed to have incurred for the purposes of the trade and in connection with the source expenditure to which this Part of this Act applies equal to the amount of the expenditure to which this Act applies which is represented by the assets or the price paid by him for the assets, whichever is the smaller.

Regulations.

30.—(1) The Commissioners of Inland Revenue may make regulations for carrying this Part of this Act into effect, and those regulations may in particular—

(*a*) lay down rules for determining the extent of the mineral deposits which are to be taken, for all or

PART III. —*cont.*

any of the purposes of this Part of this Act, as constituting a source and the amount of the output from a source in any year or over any period, and in estimating total potential future output for any of those purposes;

(*b*) lay down rules for determining the residue of the expenditure attributable to an asset immediately before, or immediately after, the sale thereof;

(*c*) in relation to cases in which, by virtue of the preceding provisions of this Part of this Act, a person is deemed to have incurred expenditure on the appointed day, lay down rules for determining what assets are to be treated as representing that expenditure and how much of that expenditure is to be treated as incurred on any particular asset;

(*d*) lay down rules for determining, for the purposes of any application under this Part of this Act, whether and by how much—

(i) the amount of the expenditure which, under this Part of this Act, a person is to be treated as having incurred on the appointed day is inadequate; or

(ii) the amount by which any allowance is to be reduced under this Part of this Act is excessive.

(2) All regulations of the Commissioners of Inland Revenue under this section shall be laid before the Commons House of Parliament as soon as may be after the making thereof, and if that House within forty days from the date on which any such regulations are laid before it resolves that the regulations be annulled, the regulations shall thereupon cease to have effect, but without prejudice to anything previously done thereunder or to the making of new regulations.

In reckoning any such period of forty days as aforesaid, no account shall be taken of any time during which Parliament is dissolved or prorogued or during which the Commons House is adjourned for more than four days.

Manner of making allowances and charges.

31. All allowances and charges falling to be made under this Part of this Act to or on any person shall be made to or on him in charging the profits or gains of his trade.

PART IV.

AGRICULTURAL LAND AND BUILDINGS.

Amendment as to relief in respect of maintenance, etc., under Rule 8 of No. V of Schedule A.

32. Subject to the provisions of this section, where, for the year of assessment in which the appointed day falls or any subsequent year of assessment, the owner of an estate which consists of or includes agricultural land—

(*a*) would, under Rule 8 of No. V of Schedule A, have been entitled to repayment of the amount of the

PART IV. —*cont.*

income tax upon any sum if the assessments on the units of assessment comprised in the estate, as reduced for the purposes of collection, had been sufficient for the purpose; but

(*b*) is unable under the said Rule to obtain repayment of that amount because the assessments on those units, as so reduced, are not sufficient for the purpose,

that sum shall be treated as if it were the amount of an allowance falling to be made under this Act by way of discharge or repayment of tax, available primarily against agricultural income:

Provided that the sum to be treated as aforesaid shall not exceed the sum which would have fallen to be so treated if—

(i) the estate had not included such of the units of assessment included therein as were used wholly for purposes other than purposes of husbandry; and

(ii) where units of assessment included in the estate were used partly for purposes of husbandry and partly for other purposes, the annual value of those units, and the assessment thereon as reduced for purposes of collection, were reduced to an extent corresponding to the extent to which those units were used for other purposes; and

(iii) so much only of the cost of maintenance, repairs, insurance and management actually incurred in connection with the estate or any part thereof were taken into account as is just having regard to the preceding provisions of this proviso.

New allowances for certain capital expenditure.

33.—(1) Subject to the provisions of this section, where, in the year preceding any year of assessment, the owner or tenant of any agricultural or forestry land incurs any capital expenditure on the construction of farm houses, farm or forestry buildings, cottages, fences or other works (not being expenditure which could, or, in the case of expenditure by a tenant, could, if he had been the owner, be taken into account for the purposes of Rule 8 of No. V of Schedule A), he shall be entitled to an allowance for that year of assessment and each of the succeeding nine years of assessment equal to one-tenth of that expenditure.

(2) No expenditure shall be taken into account for the purposes of this section unless it is incurred for the purposes of husbandry or forestry on the agricultural or forestry land in question, and—

(*a*) where the expenditure is on a farm house, one-third only of the expenditure shall be taken into account, or, if the accommodation and amenities of the farm house are out of due relation to the nature and extent of the farm, such proportion thereof not greater than one-third as may be just;

PART IV. —*cont.*

(*b*) where expenditure is incurred on any asset other than a farm house, being an asset which is to serve partly the purposes of husbandry or forestry and partly other purposes, such apportionment of the expenditure shall be made for the purposes of this subsection as may be just.

(3) No allowance shall be made under this section in respect of any expenditure incurred before the appointed day, but any expenditure incurred on or after the sixth day of April, nineteen hundred and forty-four, and before the appointed day, shall be deemed for the purposes of this section to have been incurred on the appointed day:

Provided that where any relevant exceptional depreciation allowance has been made for any year of assessment before that in which the appointed day falls in respect of any asset representing the whole or any part of that expenditure, that expenditure shall, for the purposes of the two preceding subsections, be deemed to be reduced by the amount of that allowance.

(4) Where a person would, if he continued to be the owner, or, as the case may be, the tenant, of any land, be entitled under this section to an allowance in respect of any expenditure, and the whole of his interest in the land in question, or in any part of the land in question, is transferred, whether by operation of law or otherwise, to some other person, then—

(*a*) the amount of the allowance (if any) for the year of assessment in which the transfer takes place shall be apportioned between the person from whom the interest is transferred and the person to whom the interest is transferred; and

(*b*) the person to whom the interest is transferred shall, to the exclusion of the person from whom the interest is transferred, be entitled, where the interest transferred is in the whole of the land, to the whole of the allowance for any subsequent year of assessment, and, where the interest transferred is in part only of the land, to so much of the allowance as is properly referable to that part of the land.

For the purposes of this subsection, where an interest in land is a tenancy and that tenancy comes to an end, that interest shall be deemed to have been transferred—

(i) if an incoming tenant makes any payment to the outgoing tenant in respect of assets representing the

PART IV. —*cont.*

expenditure in question, to the incoming tenant; and

(ii) in any other case, to the owner of the interest in immediate reversion on the tenancy.

(5) An allowance under this section shall be made by way of discharge or repayment of tax and shall be available primarily against agricultural income and forestry income.

(6) Where any expenditure in respect of any sea wall or other embankment is taken into account for the purposes of this section, no deduction or allowance shall be made in respect of that expenditure for any year of assessment under paragraph (*g*) of Rule 1 of No. V of Schedule A.

(7) In this section, references to the year preceding the year of assessment shall be construed as references to the year ending with the thirty-first day of March next preceding that year, or with such other date as may be agreed by the owner or tenant in question and the surveyor.

Interpretation of Part IV.

34. In this Part of this Act—

"agricultural land" means land, houses, or other buildings in the United Kingdom occupied wholly or mainly for the purpose of husbandry;

"agricultural income" means income chargeable under Schedule A or Schedule B in respect of agricultural land, income chargeable under Schedule D in respect of farming or market gardening in the United Kingdom, and income chargeable under section fifteen, section sixteen or section seventeen of the Finance Act, 1940 (which relate to excess rents and rents under long leases) in respect of rent of agricultural land;

"estate" means any land or houses falling to be taken as the unit of comparison for the purposes of paragraph (4) of Rule 8 of No. V of Schedule A;

"forestry land" means woodlands in the United Kingdom in respect of which an election is in force for assessment and charge to tax under Schedule D by virtue of the provisions of the Rules applicable to Schedule B, and any houses or other buildings in the United Kingdom which are occupied together with, and wholly or mainly for the purposes of, such woodlands;

"forestry income" means income chargeable under Schedule A in respect of forestry land, income chargeable under Schedule D in respect of the occupation of woodlands in the United Kingdom, and

PART IV.
—*cont.*

income chargeable under section fifteen, section sixteen or section seventeen of the Finance Act, 1940 (which relate to excess rents and rents under long leases) in respect of rent of forestry land;

" unit of assessment " means any land (including houses or other buildings) which forms a unit of assessment for the purposes of Schedule A.

PART V.

PATENTS.

Annual allowances for capital expenditure on purchase of patent rights.

35.—(1) Where, on or after the appointed day, a person incurs capital expenditure on the purchase of patent rights, there shall, subject to and in accordance with the subsequent provisions of this Part of this Act, be made to him for each of the relevant years of assessment, as hereinafter defined, an allowance (in this Part of this Act referred to as " an annual allowance ") equal to the appropriate fraction, as hereinafter defined, of the amount of that expenditure:

Provided that no annual allowance shall be made to a person in respect of any expenditure unless—

(*a*) the allowance falls to be made to him in charging the profits or gains of his trade; or

(*b*) any income receivable by him in respect of the rights would be liable to income tax.

(2) The relevant years of assessment are, in the case of any person, the seventeen years of assessment beginning with the year of assessment in his basis period for which the expenditure was incurred:

Provided that—

(*a*) where the rights are purchased for a specified period, the preceding provisions of this subsection shall have effect with the substitution for the reference to seventeen years of a reference to seventeen years or the number of years comprised within that period, whichever is the less; and

(*b*) where the rights purchased begin one complete year or more after the commencement of the patent and the preceding paragraph of this proviso does not apply, the said provisions shall have effect with the substitution for the reference to seventeen years of a reference to seventeen years less the number of complete years which, when the rights begin, have elapsed since the commencement of the patent, or, if seventeen complete years have elapsed as aforesaid, of a reference to one year; and

PART V. —*cont.*

(*c*) any expenditure incurred on or after the appointed day for the purposes of a trade by a person about to carry it on shall be treated for the purposes of this subsection as if it had been incurred by that person on the first day on which he does carry it on, unless, before the said first day, he has sold all the rights on the purchase of which the expenditure was incurred.

(3) The appropriate fraction is the fraction the numerator of which is one and the denominator of which is the number of the relevant years of assessment.

Effect of lapse of patent rights, sales, etc.

36.—(1) Where, on or after the appointed day, a person incurs capital expenditure on the purchase of patent rights and, before the end of the relevant years of assessment, any of the following events occurs, that is to say—

(*a*) the rights come to an end without being subsequently revived; or

(*b*) he sells all those rights or so much thereof as he still owns; or

(*c*) he sells part of those rights and the net proceeds of the sale (so far as they consist of capital sums) are not less than the amount of the capital expenditure remaining unallowed,

no annual allowance shall be made to that person for the year of assessment in his basis period for which the event takes place or any subsequent year of assessment.

(2) Where, on or after the appointed day, a person incurs capital expenditure on the purchase of patent rights and, before the end of the relevant years of assessment, either of the following events occurs, that is to say—

(*a*) the rights come to an end without being subsequently revived; or

(*b*) he sells all those rights, or so much thereof as he still owns, and the net proceeds of the sale (so far as they consist of capital sums) are less than the amount of the capital expenditure remaining unallowed,

there shall, subject to and in accordance with the subsequent provisions of this Part of this Act, be made to him for the year of assessment in his basis period for which the event takes place an allowance (in this Part of this Act referred to as "a balancing allowance") equal, if the event is the rights coming to an end, to the amount of the capital expenditure remaining unallowed, and, if the event is a sale, to the amount of the capital expenditure remaining unallowed less the net proceeds of the sale.

(3) Where a person who, on or after the appointed day, has incurred capital expenditure on the purchase of patent rights sells all or any part of those rights and the net proceeds of the sale (so far as they consist of capital sums) exceed the amount of the capital expenditure remaining unallowed, if any, there shall, subject to and in accordance with the subsequent provisions of this Part of this Act, be made on him for the year of assessment in his basis period for which the sale takes place a charge (in this Part of this Act referred to as "a balancing charge") on an amount equal to the excess or, where the amount of the capital expenditure remaining unallowed is nil, to the said net proceeds.

(4) Where a person who, on or after the appointed day, has incurred capital expenditure on the purchase of patent rights sells a part of those rights and the last preceding subsection does not apply, the amount of any annual allowance made in respect of that expenditure for the year of assessment in his basis period for which the sale takes place or any subsequent year of assessment shall be the amount arrived at by—

(*a*) subtracting the net proceeds of the sale (so far as they consist of capital sums) from the amount of the expenditure remaining unallowed at the time of the sale; and

(*b*) dividing the result by the number of the relevant years of assessment which remained at the beginning of the year of assessment in his basis period for which the sale takes place,

and so on for any subsequent sales.

(5) References in the preceding provisions of this section to the amount of any capital expenditure remaining unallowed shall, in relation to any event, be construed as references to the amount of that expenditure less any annual allowances made in respect thereof for years of assessment before the year of assessment in the basis period for which that event occurs, and less also the net proceeds of any previous sale by the person who incurred the expenditure of any part of the rights acquired by the expenditure, so far as those proceeds consist of capital sums.

(6) Notwithstanding anything in the preceding provisions of this section, no balancing allowance shall be made in respect of any expenditure unless an annual allowance has been, or, but for the happening of the event giving rise to the balancing allowance, could have been, made in respect of that expenditure, and the total amount on which a balancing charge is made in respect of any expenditure shall not exceed the total annual allowances actually made in respect of that expenditure, less, if a balancing charge has

PART V. —*cont.*

previously been made in respect of that expenditure, the amount on which that charge was made.

Charges on capital sums received for sale of patent rights.

37.—(1) Where, on or after the appointed day, a person resident in the United Kingdom sells any patent rights and the net proceeds of the sale consist wholly or partly of a capital sum, he shall, subject to the provisions of this Part of this Act, be charged to tax under Case VI of Schedule D, for the year of assessment in which the sum is received by him and each of the five succeeding years of assessment, on an amount equal to one-sixth of that sum:

Provided that if that person, by notice in writing served on the surveyor not later than twelve months after the end of the year of assessment in which the said amount was received, elects that the whole of the said sum shall be charged to tax for the said year of assessment, it shall be charged to tax accordingly.

(2) Where, on or after the appointed day, a person not resident in the United Kingdom sells any patent rights and the net proceeds of the sale consist wholly or partly of a capital sum, and the patent is a United Kingdom patent, then, subject to the provisions of this Part of this Act—

(*a*) he shall be chargeable to tax in respect of that sum under Case VI of Schedule D; and

(*b*) Rule 21 of the General Rules (which provides for the taxation of annual sums by deduction) shall apply to that sum as if it was an annual sum payable otherwise than out of profits or gains charged to tax; and

(*c*) all the other provisions of the Income Tax Acts shall have effect accordingly, except that section nineteen of the Finance Act, 1928 (which directs the amount of an assessment under the said Rule 21 to be allowed as a loss for certain purposes) shall not apply:

18 & 19 Geo. 5. c. 17.

Provided that if, not later than twelve months after the end of the year of assessment in which the sum is paid, the person to whom it is paid, by notice in writing to the Commissioners of Inland Revenue, elects that the said sum shall be treated for the purpose of income tax for that year and each of the five succeeding years as if one-sixth thereof, and no more, were included in his income chargeable to tax for all those years respectively, it shall be so treated, and all such repayments and assessments of tax for each of those years shall be made as are necessary to give effect to the election, so, however, that—

(i) the election shall not affect the amount of tax which is to be deducted and assessed under Rule 21 of the General Rules; and

(ii) where any sum is deducted under the said Rule 21, any adjustments necessary to give effect to the election shall be made by way of repayment of tax; and

(iii) the said adjustments shall be made year by year and as if one-sixth of the sum deducted had been deducted in respect of tax for each year, and no repayment of, or of any part of, that portion of the tax deducted which is to be treated as deducted in respect of tax for any year shall be made unless and until it is ascertained that the tax (other than surtax) ultimately falling to be paid for that year is less than the amount of tax (other than surtax) paid for that year.

(3) Where the patent rights sold by a person or the rights out of which the patent rights sold by a person were granted were acquired by him by purchase and the price paid by him consisted wholly or partly of a capital sum, subsections (1) and (2) of this section shall apply as if any capital sum received by him when he sells the rights were reduced by the amount of that sum:

Provided that—

(*a*) where between the said purchase and the said sale he has sold part of the patent rights acquired by him and the net proceeds of that sale consist wholly or partly of a capital sum, the amount of the reduction falling to be made under this subsection in respect of the subsequent sale shall be itself reduced by the amount of that sum;

(*b*) nothing in this subsection shall affect the amount of tax which is to be deducted and assessed under Rule 21 of the General Rules by virtue of subsection (2) of this section, and, where any sum is deducted under the said Rule 21, any adjustment necessary to give effect to the provisions of this subsection shall be made by way of repayment of tax.

(4) The provisions of the Second Schedule to this Act (which relate to deaths, windings up and partnership changes) shall have effect in relation to the charges provided for by this section, and, in the said Schedule, the expression "the principal section" means this section.

Patent rights sold before appointed day.

38. Nothing in the preceding provisions of this Part of this Act shall apply in relation to any patent rights if those rights, or any rights out of which they were granted, have been the subject of a sale before the appointed day and the proceeds of the sale consisted wholly or partly of a capital sum.

PART V. —*cont.*

Relief for expenses.

39.—(1) In computing the profits or gains of any trade, there shall be allowed to be deducted as expenses any fees paid or expenses incurred on or after the appointed day in obtaining, for the purposes of the trade, the grant of a patent or an extension of the term of a patent.

(2) Where—

(*a*) on or after the appointed day, a person, otherwise than for the purposes of a trade carried on by him, pays any fees or incurs any expenses in connection with the grant or maintenance of a patent or the obtaining of an extension of a term of a patent; and

(*b*) those fees or expenses would, if they had been paid or incurred for the purposes of a trade, have been allowable as a deduction in estimating the profits or gains thereof,

there shall be made to him, for the year of assessment in which these expenses were paid or incurred, an allowance equal to the amount thereof.

(3) Where a patent is granted in respect of any invention, an allowance equal to so much of the net amount of any expenses incurred, on or after the appointed day, by an individual who, whether alone or in conjunction with any other person, actually devised the invention as is properly ascribable to the devising thereof (not being expenses in respect of which, or of assets representing which, an allowance falls to be made under any other provision of the Income Tax Acts) shall be made to that individual for the year of assessment in which the expenses were incurred.

(4) The provisions of the last preceding subsection shall apply in relation to expenses incurred before the appointed day as if those expenses were incurred on the appointed day, subject to the modification that, if the patent in question was granted one complete year or more before the appointed day, the amount to be allowed shall be reduced by applying thereto the fraction the numerator of which is seventeen less the number of complete years comprised in the period beginning with the commencement of the patent and ending immediately before the appointed day, and the denominator of which is seventeen.

Patent income to be earned income in certain cases.

15 & 16 Geo. 5. c. 36.

10 & 11 Geo. 5. c. 18.

40. In considering, in relation to the year of assessment in which the appointed day falls or any subsequent year of assessment, whether any, and, if so, what, relief is to be granted to an individual under subsection (1) of section fifteen of the Finance Act, 1925 (which relates to earned income relief) or under subsection (2) of section eighteen of the Finance Act, 1920 (which relates to wife's earned income relief), any income from patent rights arising to an individual shall, where the patent was granted for an invention actually devised by him, whether alone or jointly with any other person, be deemed to be earned income: Part V.—*cont.*

Provided that where any part of the rights in question or of any rights out of which they were granted has at any time belonged to any other person, so much only of the said income shall be deemed to be earned income as is not properly attributable to the rights which have belonged to that other person.

Spreading of income payments over several years.

41.—(1) Where a royalty or other sum to which Rule 19 or Rule 21 of the General Rules applies is paid in respect of the user of a patent, and that user extended over a period of six complete years or more, the person receiving the payment may require that the income tax (including surtax) payable by him by reason of the receipt of that sum shall be reduced so as not to exceed the total amount of income tax (including surtax) which would have been payable by him if that royalty or sum had been paid in six equal instalments at yearly intervals, the last of which was paid on the date on which the payment was in fact made.

(2) Subsection (1) of this section shall apply in relation to a royalty or other sum where the period of the user is two complete years or more but less than six complete years as it applies to the royalties and sums mentioned in that subsection, but with the substitution for the reference to six equal instalments of a reference to so many equal instalments as there are complete years comprised in that period.

(3) In this section, any reference to the income tax (including surtax) payable by a person includes, in cases where the profits of a wife are deemed to be the profits of the husband, references to the income tax (including surtax) payable by his wife or her husband, as the case may be.

(4) Nothing in this section shall apply to any sum to which Rule 21 of the General Rules applies by virtue of any of the provisions of this Part of this Act or to any of the rents or other sums to which section twenty-one of the Finance Act, 1934, and section seventeen of the Finance Act, 1940, apply. 24 & 25 Geo. 5. c. 32.

When a person is to be treated as a trader.

42.—(1) An allowance or charge under any of the provisions of this Part of this Act shall be made to or on a person in charging the profits or gains of his trade if—

(*a*) he is carrying on a trade the profits or gains of which are, or, if there were any, would be, chargeable to income tax under Case I of Schedule D for the year of assessment for which the allowance or charge is made; and

PART V. —*cont.*

(*b*) at any time in his basis period for that year of assessment, the patent rights in question, or other rights out of which they were granted, were or were to be used for the purposes of that trade:

Provided that nothing in this subsection shall affect any of the preceding provisions of this Part of this Act allowing a deduction as expenses in computing the profits or gains of a trade or requiring a charge to be made under Case VI of Schedule D.

(2) Save as aforesaid, an allowance under this Part of this Act shall be made by way of discharge or repayment of tax and shall be available against income from patents, and a charge under this Part of this Act shall be made under Case VI of Schedule D.

Interpretation of Part V, etc.

43.—(1) In this Part of this Act, the following expressions have the meanings hereby respectively assigned to them, that is to say—

"income from patents" means—

(*a*) any royalty or other sum paid in respect of the user of a patent;

(*b*) any amount on which tax is payable for any year of assessment by virtue of any of the provisions of this Part of this Act,

but does not include the rents and other sums to which section twenty-one of the Finance Act, 1934, and section seventeen of the Finance Act, 1940, apply;

"the commencement of the patent" means, in relation to a patent, the date as from which the patent rights become effective;

"patent rights" means the right to do or authorise the doing of anything which would, but for that right, be an infringement of a patent;

"United Kingdom patent" means a patent granted under the laws of the United Kingdom.

(2) In this Part of this Act, any reference to the sale of part of patent rights includes a reference to the grant of a licence in respect of the patent in question, and any reference to the purchase of patent rights includes a reference to the acquisition of a licence in respect of a patent:

Provided that if a licence granted by a person entitled to any patent rights is a licence to exercise those rights to the exclusion of the grantor and all other persons for the whole of the remainder of the term for which the rights subsist, the grantor shall be treated for the purposes of this Part of this Act as thereby selling the whole of the rights.

(3) Where, under section twenty-nine of the Patents and Designs Act, 1907, or any corresponding provisions of the law of any country outside the United Kingdom, an invention which is the subject of a patent is made, used, or exercised or vended by or for the service of the Crown or the government of the country concerned, the provisions of this Part of this Act shall have effect as if the making, user, exercise or vending of the invention had taken place in pursuance of a licence, and any sums paid in respect thereof shall be treated accordingly.

Part V. —*cont.* 7 Edw. 7. c. 29.

(4) Any reference in this Part of this Act to the number of years comprised in a period shall be construed as a reference to the number of consecutive periods of twelve months, beginning with the day with which the period begins, which are comprised in the period, any odd period of less than twelve months remaining at the end of the period being treated as a complete twelve months:

Provided that nothing in this subsection shall be construed as affecting any reference in this Part of this Act to the number of complete years comprised in any period or which have elapsed since any date.

Part VI.

Scientific Research.

Application of s. 27 of Finance Act, 1944, to certain expenditure and payments incurred or made on or before appointed day.

44. For the purposes of section twenty-seven of the Finance Act, 1944 (which relates to payments to research associations, universities and other bodies, and to certain other scientific research expenditure), any expenditure incurred and any sum paid on or after the sixth day of April, nineteen hundred and forty-four and on or before the appointed day, being expenditure or a sum which, apart from that section, would not have been deductible as an expense in computing the profits or gains of the trade for the purposes of income tax, shall be treated as if that expenditure was incurred or that sum was paid immediately after the appointed day.

Application of ss. 28 and 29 of Finance Act, 1944, to certain capita expenditure incurred on or before appointed day.

45. Where, on or after the first day of January, nineteen hundred and thirty-seven and on or before the appointed day, a person incurs expenditure of a capital nature on scientific research, he shall, unless the expenditure is represented by an asset which ceases, on or before the appointed day, to be used by him for scientific research related to the trade carried on by him, be treated for the purposes of sections twenty-eight and twenty-nine of the Finance Act, 1944 (which relate to allowances for capital expenditure on scientific research) as having incurred that expenditure immediately after the appointed day:

PART VI. —*cont.*

Provided that where that expenditure is represented by an asset, the expenditure shall be treated as reduced by the aggregate amount of all allowances made to him in respect of the asset for any year of assessment before that in which the appointed day falls, being allowances either—

(*a*) under section fifteen of the Finance Act, 1937 (which relates to the mills, factories allowance); or

4 & 5 Geo. 6. c. 30.

(*b*) under section nineteen of the Finance Act, 1941 (which relates to the exceptional depreciation allowance); or

(*c*) under Rule 6 of the Rules applicable to Cases I and II of Schedule D (which relates to the wear and tear allowance); or

(*d*) under section eighteen of the Finance Act, 1932, or under that section as amended by section twenty-two of the Finance Act, 1938 (which provides for an additional allowance for wear and tear).

Other amendments of s. 29 of Finance Act, 1944.

46.—(1) Any reference in section twenty-nine of the Finance Act, 1944 (which contains provisions as to assets representing capital expenditure) to expenditure of a capital nature incurred by the person carrying on a trade shall not include a reference to any expenditure except—

(*a*) expenditure incurred after the appointed day; and

(*b*) so much of any expenditure incurred on or after the first day of January, nineteen hundred and thirty-seven, and on or before the appointed day as, under the provisions of the last preceding section, is to be treated as having been incurred immediately after the appointed day.

(2) Subsection (3) of the said section twenty-nine (which relates to the destruction of assets by fire or any similar cause) shall apply in relation to the destruction of assets from whatever cause, and accordingly the words " by fire or any similar cause " are hereby repealed.

(3) Subsection (4) of the said section twenty-nine (which prevents the allowance of deductions under other provisions of the Income Tax Acts in respect of assets to which that section applies) shall not prevent the allowance of any deduction for the purpose of income tax for any year of assessment before that in which the appointed day falls.

Scientific research allowances to exclude allowances under this Act.

47. No initial allowance under Part I or Part II of this Act shall be made in respect of expenditure on the provision of an asset if that expenditure is expenditure in respect of which a deduction may be allowed under section twenty-eight of the Finance Act, 1944, and subsection (4) of section twenty-nine of that Act (which prohibits the making of wear and tear and other allowances in years for which deductions are allowed under the said sections twenty-eight and twenty-nine) shall apply in relation to annual allowances under the said Part I as it applies in relation to wear and tear allowances. PART VI. —*cont.*

PART VII.

EXCEPTIONAL DEPRECIATION.

48. An exceptional depreciation allowance shall be given notwithstanding that, on the date determined by Parliament for the purposes of subsection (1) of section nineteen of the Finance Act, 1941, the buildings, machinery or plant have not become obsolete or ceased to be required, and accordingly in paragraph (*a*) of the said subsection (1) for the words " the buildings, machinery or plant have, wholly or partially, become obsolete or ceased to be required and the value thereof is less than the net cost thereof " there shall be substituted the words " the value of the buildings, machinery or plant, or, where the buildings, machinery or plant have ceased to exist as such, the value of the remains thereof, is less than the net cost thereof." Extension of right to allowance.

49.—(1) Where it is material for the purposes of subsection (1) of section nineteen of the Finance Act, 1941, to ascertain the value of any buildings, machinery or plant on the date determined by Parliament for the purposes of that subsection, that value shall be ascertained as if the buildings, machinery or plant were in a proper state of repair. Valuation

(2) Where an allowance under the said subsection (1) is, or, but for the provisions of this section, would be, made in respect of any buildings, machinery or plant by reference to the value thereof on the date determined by Parliament, and—

(*a*) on that date, the buildings, machinery or plant are not in a proper state of repair; and

(*b*) not later than six years after that date, the buildings, machinery or plant are sold by the person who is or would be entitled to the allowance before all the repairs have been made which are necessary to make good the disrepair existing on that date; and

(*c*) the net proceeds of the sale are less than the value as ascertained for the purposes of the said subsection (1),

he may claim that the said value shall for those purposes be deemed to be reduced by such amount as may be just, having regard to the extent to which the said repairs have not been made good at the time of the sale:

Provided that the said value shall not be treated for the said purposes as having been reduced below the actual value

PART VII. —*cont.*

of the buildings, machinery or plant in their actual state at the date determined by Parliament, or the net proceeds of the sale, whichever is the greater, plus any sums paid or payable to or for the benefit of the said person, under Part I or Part II of the War Damage Act, 1943, in respect of damage to the buildings, machinery or plant, being damage which has not been made good before the date determined by Parliament or, as the case may be, the date of the sale.

6 & 7 Geo. 6. c. 21.

(3) In this section and in the said subsection (1), any reference to the value of buildings, machinery or plant shall be construed as a reference to the value thereof to the person carrying on the trade, or to the amount which could be obtained therefor in the open market, whichever is the higher.

(4) Nothing in this section shall apply in relation to any buildings, machinery or plant which, on the date determined by Parliament, are no longer in existence as such.

War damage.

50. Paragraph (ii) of subsection (1) of section nineteen of the Finance Act, 1941 (which directs war damage payments to be taken into account in determining whether an exceptional depreciation allowance may be made, and, if so, the amount thereof) shall not apply in relation to any payments under Part I or Part II of the War Damage Act, 1943, in respect of any buildings, machinery or plant, unless—

(*a*) the buildings, machinery or plant have been sold before the date determined by Parliament for the purposes of that subsection, or are at that date no longer in existence as such; and

(*b*) the said payments have been or are to be made to or for the benefit of the person who is entitled to the allowance or would be entitled to the allowance if an allowance fell to be made.

Depreciation to be spread evenly.

51. Any excess in respect of which an exceptional depreciation allowance falls to be made shall be deemed to have begun to accrue on the sixth day of April, nineteen hundred and thirty-nine, or the date when the buildings, machinery or plant were provided, whichever is the later, and to have continued to accrue at an even rate until the date determined by Parliament, the date on which the buildings, machinery or plant were sold, or the date on which the buildings, machinery or plant finally ceased to be used by the person to whom the allowance falls to be made, whichever is the earliest date, and the proportion of the excess properly attributable to any year shall be determined accordingly:

Provided that, in relation to a person to whom the buildings, machinery or plant have been transferred in such circumstances that they are deemed by virtue of subsection (4) of section nineteen of the Finance Act, 1941, to have been provided by him, the reference in this section to the date when the buildings, machinery or plant were provided shall be construed as a reference to the date of the transfer.

Allowances under Parts I and II to be taken into account.

52. The reference in paragraph (i) of subsection (1) of section nineteen of the Finance Act, 1941, to deductions for wear and tear or depreciation already allowed in respect of the buildings, machinery or plant shall be deemed to include a reference to any allowance made in respect thereof under Part I or Part II of this Act.

Effect of certain sales by persons entitled to exceptional depreciation allowances and by successors of such persons.

53.—(1) The provisions of this section shall have effect where—

(*a*) any buildings, machinery or plant are sold on, before or not later than six years after the date determined by Parliament for the purposes of subsection (1) of section nineteen of the Finance Act, 1941; and

(*b*) the seller is a person to whom an exceptional depreciation allowance falls to be made in respect of the buildings, machinery or plant, whether by reason of the sale or otherwise; and

(*c*) at the time of the sale and, where the event giving rise to the allowance is not the sale, also at the time of the event, the buildings, machinery or plant are not in a proper state of repair; and

(*d*) the buyer is a body of persons over whom the seller has control, or the seller is a body of persons over whom the buyer has control, or both the seller and the buyer are bodies of persons and some other person has control over both of them.

(2) No deduction shall be allowed in computing the profits or gains of any trade carried on by the buyer in respect of any expenditure incurred in making good the disrepair existing at the time of the event giving rise to the exceptional depreciation allowance, no allowance shall be made to him under any provision of this Act in respect of any capital expenditure incurred by him for that purpose, and, where the said disrepair is such as to require the provision of new machinery or plant, no allowance shall be made to the buyer under Rule 6 or Rule 7 of the Rules applicable to Cases I and II of Schedule D in respect of machinery or plant provided to make good the disrepair.

(3) Where—

(*a*) the buyer under such a sale as is mentioned in subsection (1) of this section again sells the buildings, machinery or plant, or any part of them; and

PART VII. —*cont.*

(*b*) the second sale takes place before, on or not later than six years after the date determined by Parliament for the purposes of subsection (1) of section nineteen of the Finance Act, 1941; and

(*c*) the second buyer is a body of persons over whom the first buyer has control, or the first buyer is a body of persons over whom the second buyer has control, or both the first buyer and the second buyer are bodies of persons and some other person has control over both of them,

the provisions of the last preceding subsection shall, in relation to the income tax payable by the second buyer, have effect as if the second sale had been a sale by the first seller direct to the second buyer, and so on for any subsequent sales.

(4) In this section, references to a body of persons include references to a partnership, and references to the event giving rise to an exceptional depreciation allowance are references—

(*a*) if the allowance is made because, on the date determined by Parliament, the value of the buildings, machinery or plant is less than the net cost thereof, to that date; and

(*b*) if the allowance is made because the buildings, machinery or plant are sold before the said date at a price which is less than the net cost thereof, to the date of that sale.

Part VII to be retrospective.

54. This Part of this Act shall be deemed always to have had effect.

PART VIII.

MISCELLANEOUS AND GENERAL.

Manner of charging tax and granting allowances in case of traders.

55.—(1) Any claim by a person for an allowance falling to be made to him under any of the provisions of this Act in charging the profits or gains of his trade shall be included in the annual statement required to be delivered under the Income Tax Acts of the profits or gains thereof, and the allowance shall be made as a deduction in charging those profits or gains, and paragraph (3) of Rule 6 of the Rules applicable to Cases I and II of Schedule D (which relates to the carrying forward of deductions allowable in respect of wear and tear of machinery or plant) and section nineteen of the Finance Act, 1932 (which provides for the carrying forward of losses for which relief cannot be given owing to the grant of relief given in respect of wear and tear of machinery or plant) shall apply in relation to the allowance as they apply in relation to deductions allowable in respect of wear and tear of machinery and plant.

(2) If, in the case of a trade which consists of or includes the working of a mine, oil well or other source of mineral deposits—

(*a*) a balancing allowance falls to be made under Part I of this Act for the last year of assessment during which the trade is carried on;

(*b*) the event giving rise to the allowance is the mine, oil well or other source ceasing to be worked or the coming to an end of a foreign concession;

(*c*) the allowance is in respect of expenditure on a building or structure which was constructed for occupation by, or for the welfare of, persons employed at, or in connection with the working of, the mine, oil well or other source; and

(*d*) full effect cannot be given to the allowance because of an insufficiency of profits or gains for the said year of assessment,

the person entitled to the allowance may claim that the balance of the allowance may be given for the last preceding year of assessment, and so on for other preceding years, so, however, that no allowance shall be given by virtue of this subsection for any year earlier than the fifth year before the first mentioned year of assessment.

(3) Any charge falling to be made under any of the provisions of this Act on a person for any year of assessment in charging the profits or gains of his trade shall be made by means of an assessment on the profits or gains of that trade for that year of assessment in addition to any other assessment falling to be made thereon for that year.

(4) The preceding provisions of this section shall apply in relation to professions, employments, vocations and offices and the occupation of lands the profits or gains whereof are assessable otherwise than by reference to assessable value as they apply in relation to trades.

(5) Nothing in this section applies to any deduction allowable under any provision of this Act in computing the profits or gains of a trade.

Manner of granting, and effect of, allowances made by way of discharge or repayment of tax.

56.—(1) Where, under any of the provisions of this Act, an allowance falls to be made to a person for any year of assessment which is to be given by way of discharge or repayment of tax, and is to be available, or available primarily, against a specified class of income, the amount of the allowance shall be deducted from or set off against income of his of that class for that year of assessment, and, if the amount to be allowed is greater than the amount of his income of that class for that year of assessment, the balance shall be deducted

PART VIII. —cont.

from or set off against his income of that class for the next year of assessment, and so on for subsequent years of assessment, and tax shall be discharged or repaid accordingly:

Provided that where the allowance is available primarily against income of the specified class and the amount of the allowance is greater than the amount of the person's income of that class for the first-mentioned year of assessment, he may, by notice in writing given to the surveyor not later than one year after the end of that year of assessment, elect that the excess shall be deducted from or set off against his other income for that year of assessment, and it shall be deducted from or set off against that income and tax discharged or repaid accordingly, and only the excess, if any, of the amount of the allowance over all his income for that year of assessment shall be deducted from or set off against his income of the specified class for succeeding years.

17 & 18 Geo 5. c. 10.

(2) Subsection (4) of section forty-two of the Finance Act, 1927 (which makes standard rate tax assessments conclusive for surtax purposes and prohibits certain allowances or adjustments being made for surtax purposes unless they have been previously made for the purposes of standard rate tax) shall apply in relation to the allowances mentioned in this section as it applies in relation to the allowances and adjustments mentioned in that subsection.

(3) Section forty-one of the Finance Act, 1927 (which contains provisions with respect to the making and determination of claims) shall apply in relation to claims for allowances mentioned in this section as it applies in relation to claims for deductions of tax under section forty of that Act:

Provided that, except in the case of an allowance under Part IV of this Act, any such claim to which objection is made shall, if the claimant so elects when he makes the claim, be heard and determined by the Special Commissioners, and subsection (2) of the said section forty-one shall have effect accordingly.

Meaning of "basis period."

57.—(1) In this Act, the expression "basis period" has the meaning assigned to it by the following provisions of this section.

(2) In the case of a person to or on whom an allowance or charge falls to be made in charging the profits or gains of his trade, his basis period for any year of assessment is the period on the profits or gains of which income tax for that year falls to be finally computed under Case I of Schedule D in respect of the trade in question or, where, by virtue of any Act, the profits or gains of any other period are to be

taken to be the profits or gains of the said period, that other period:

Provided that, in the case of any trade—

(*a*) where two basis periods overlap, the period common to both shall be deemed for the purpose of this subsection to fall in the first basis period only;

(*b*) where there is an interval between the end of the basis period for one year of assessment and the basis period for the next year of assessment, then, unless the second-mentioned year of assessment is the year of the permanent discontinuance of the trade, the interval shall be deemed to be part of the second basis period; and

(*c*) where there is an interval between the end of the basis period for the year of assessment preceding that in which the trade is permanently discontinued and the basis period for the year in which it is permanently discontinued, the interval shall be deemed to form part of the first basis period.

(3) Where an allowance falls to be made under Part II of this Act to a person carrying on a profession or vocation, the provisions of the last preceding subsection shall apply as if the references to a trade included references to a profession or vocation and as if the reference to Case I of Schedule D included a reference to Case II of Schedule D.

(4) In the case of any other person to or on whom an allowance or charge falls to be made under this Act, his basis period for any year of assessment is the year of assessment itself.

Apportionment of consideration, and exchanges and surrenders of leasehold interests.

58.—(1) Any reference in this Act to the sale of any property includes a reference to the sale of that property together with any other property and, where property is sold together with other property, so much of the net proceeds of the sale of the whole property as, on a just apportionment, is properly attributable to the first-mentioned property shall, for the purposes of this Act, be deemed to be the net proceeds of the sale of the first-mentioned property, and references to expenditure incurred on the provision or the purchase of property shall be construed accordingly.

For the purposes of this subsection, all the property which is sold in pursuance of one bargain shall be deemed to be sold together, notwithstanding that separate prices are or purport to be agreed for separate items of that property or that there are or purport to be separate sales of separate items of that property.

PART VIII. —*cont.*

(2) The provisions of the last preceding subsection shall, with the necessary adaptations, apply in relation to other sale, insurance, salvage or compensation moneys as they apply in relation to the net proceeds of sales.

(3) This Act shall have effect as if any reference therein (including any reference in the preceding provisions of this section) to the sale of any property included a reference to the exchange of any property and, in the case of a leasehold interest, also included a reference to the surrender thereof for valuable consideration, and any provisions of this Act referring to sales shall have effect accordingly with the necessary adaptations and, in particular, with the adaptations that references to the net proceeds of sale and to the price shall be taken to include references to the consideration for the exchange or surrender and references to capital sums included in the price shall be taken to include references to so much of the consideration as would have been a capital sum if it had taken the form of a money payment.

(4) As respects the year in which the appointed day falls and any subsequent year of assessment, the preceding provisions of this section shall, with the necessary adaptations, have effect in relation to—

(*a*) Rules 6 and 7 of the Rules applicable to Cases I and II of Schedule D (which provide for a wear and tear allowance and an obsolescence allowance in the case of machinery and plant); and

(*b*) section nineteen of the Finance Act, 1941 (which relates to exceptional depreciation of buildings, machinery or plant from war causes); and

(*c*) section twenty-nine of the Finance Act, 1944 (which relates to sales of assets representing expenditure on scientific research),

as if the said Rules 6 and 7 and the said sections nineteen and twenty-nine were provisions of this Act.

Special provisions as to certain sales.

59.—(1) The provisions of this section shall have effect in relation to sales of any property where either—

(*a*) the buyer is a body of persons over whom the seller has control, or the seller is a body of persons over whom the buyer has control, or both the seller and the buyer are bodies of persons and some other person has control over both of them; or

(*b*) it appears with respect to the sale or with respect to transactions of which the sale is one, that the sole or main benefit which, apart from the provisions of this section, might have been expected to accrue to the parties or any of them was the obtaining of an allowance or deduction under any of the following enactments, that is to say, any of the provisions of this Act or of Rule 6 or Rule 7 of the Rules applicable to Cases I and II of Schedule D or of section nineteen of the Finance Act, 1941, or of Part IV of the Finance Act, 1944.

Part VIII. —*cont.*

References in this subsection to a body of persons include references to a partnership.

(2) Where the property is sold at a price other than that which it would have fetched if sold in the open market, then, subject to the succeeding provisions of this section, the like consequences shall ensue for the purposes of the enactments mentioned in subsection (1) of this section, in their application to the income tax of all persons concerned, as would have ensued if the property had been sold for the price which it would have fetched if sold in the open market.

(3) Where the sale is a sale of machinery or plant—

(*a*) no initial allowance shall be made to the buyer; and

(*b*) subject to the provisions of the next succeeding subsection, if the price which the property would have fetched if sold in the open market is greater than the limit of re-charge on the seller, the last preceding subsection shall have effect as if for the reference to the price which the property would have fetched if sold in the open market there were substituted a reference to the said limit of re-charge:

Provided that this subsection shall not apply in relation to a sale of machinery or plant which has never been used if the business or part of the business of the seller was the manufacture or supply of machinery or plant of that class and the sale was effected in the ordinary course of the seller's business;

Provided also that where the sale is one to which paragraph (*a*) of subsection (1) of this section applies and took place before the appointed day, and the seller acquired the machinery or plant on or after the sixth day of April, nineteen hundred and forty-four, paragraph (*a*) of this subsection shall not apply.

In this subsection the expression " the limit of re-charge " means, in relation to a person who sells machinery or plant—

(i) if he provided that machinery or plant for himself before the appointed day, the actual cost to him of the machinery or plant, including in that actual cost

PART VIII. —*cont.*

any expenditure in the nature of capital expenditure on machinery or plant by way of renewal, improvement or reinstatement;

(ii) if he provided the machinery or plant for himself on or after the appointed day, the expenditure incurred by him on the provision thereof.

(4) Where the sale is one to which paragraph (*a*) of subsection (1) of this section applies and paragraph (*b*) of that subsection does not apply, and the parties to the sale by notice in writing to the surveyor so elect, the following provisions shall have effect:—

(*a*) subsection (2) of this section shall have effect as if for the reference to the price which the property would have fetched if sold in the open market there were substituted a reference to that price or to the sum hereinafter mentioned, whichever is the lower;

(*b*) paragraph (*b*) of subsection (3) shall not apply; and

(*c*) notwithstanding anything in the preceding provisions of this section, such balancing charge, if any, shall be made on the buyer on any event occurring after the date of the sale as would have fallen to be made on the seller if the seller had continued to own the property and had done all such things and been allowed all such allowances or deductions in connection therewith as were done by or allowed to the buyer.

The said sum is—

(i) in the case of an industrial building or structure, the residue of the expenditure on the construction of that building or structure immediately before the sale, computed in accordance with the provisions of section four of this Act;

(ii) in the case of machinery or plant, the amount of the expenditure on the provision thereof still unallowed immediately before the sale, computed in accordance with the provisions of section nineteen of this Act;

(iii) in the case of assets representing the expenditure to which Part III of this Act applies, the residue of the expenditure attributable to those assets immediately before the sale, computed in accordance with the provisions of the said Part III; and

(iv) in the case of patent rights, the amount of any capital expenditure on the acquisition thereof remaining unallowed, computed in accordance with the provisions of section thirty-six of this Act: PART VIII. —*cont.*

Provided that in computing the said sum in the case of any buildings, machinery or plant, any sums provisionally allowed under subsection (2) of section nineteen of the Finance Act, 1941 (which relates to exceptional depreciation allowances) shall be left out of account.

(5) As respects Rules 6 and 7 of the Rules applicable to Cases I and II of Schedule D, the provisions of this section shall have effect as respects tax for the year of assessment in which the appointed day falls and any subsequent year of assessment, and, as respects exceptional depreciation allowances, the provisions of this section shall be deemed always to have had effect.

Effect, in certain cases, of successions to trades, etc.

60.—(1) Where, on or after the appointed day, a person succeeds to any trade, profession or vocation which until that time was carried on by another person and, by virtue of any of the provisions of Rule 11 of the Rules applicable to Cases I and II of Schedule D, the trade, profession or vocation is to be treated as discontinued, any property which, immediately before the succession takes place, was in use for the purposes of the discontinued trade, profession or vocation and, without being sold, is, immediately after the succession takes place, in use for the purposes of the new trade, profession or vocation, shall, for the purposes of this Act, be treated as if it had been sold to the successor when the succession takes place, and as if the net proceeds of that sale had been the price which that property would have fetched if sold in the open market:

Provided that no initial allowance shall be made under any of the provisions of this Act by virtue of the provisions of this subsection.

(2) Where, after the setting up and before the permanent discontinuance of a trade, profession or vocation which at any time is carried on in partnership, anything is done for the purposes thereof, any allowance or charge which, if the trade, profession or vocation had at all times been carried on by one and the same person, would have fallen to be made to or on him under any of the provisions of this Act, shall be made to or on the person or persons from time to time carrying on that trade, profession or vocation, and the amount of any such allowance or charge shall be computed as if that person or those persons had at all times been carrying on the trade, profession or vocation and as if everything done to or by his or their predecessors in the carrying on thereof had been done to or by him or them.

PART VIII. —*cont.*

(3) This section shall, with the necessary adaptations, apply in relation to the occupation of woodlands the profits or gains of which are assessable under Schedule D as it applies in relation to a trade.

Procedure on apportionments, etc.

61.—(1) Where, under or by virtue of any provisions of this Act, any sum falls to be apportioned and, at the time of the apportionment, it appears that it is material as respects the liability to income tax (for whatever year of assessment) of two or more persons, any question which arises as to the manner in which the sum is to be apportioned shall be determined, for the purposes of the income tax of all those persons—

(*a*) in a case where the same body of General Commissioners have jurisdiction with respect to all those persons, by those Commissioners, unless all those persons agree that it shall be determined by the Special Commissioners;

(*b*) in a case where different bodies of Commissioners have jurisdiction with respect to those persons, by such of those bodies as the Commissioners of Inland Revenue may direct, unless all those persons agree that it shall be determined by the Special Commissioners; and

(*c*) in any other case, by the Special Commissioners,

and any such Commissioners shall determine the question in like manner as if it were an appeal against an assessment under Schedule D, and the provisions of the Income Tax Acts relating to such an appeal shall apply accordingly with any necessary modifications:

Provided that all the said persons shall be entitled to appear and be heard by the Commissioners who are to make the determination or to make representations to them in writing.

(2) This section applies in relation to any determination under either of the two last preceding sections of the price which property would have fetched if sold in the open market as it applies in relation to apportionments.

Trade marks and designs.

62. In computing the profits or gains of any trade, there shall be allowed to be deducted as expenses any fees paid or expenses incurred on or after the appointed day in obtaining, for the purposes of the trade, the registration of a design or a trade mark or the extension of the period of copyright in a design or the renewal of registration of a trade mark.

PART VIII. —*cont.*

Act not to apply to excess profits tax and the national defence contribution.

63. The provisions of this Act shall not apply for the purposes of excess profits tax or the national defence contribution.

Interpretation of certain references to expenditure, etc.

64.—(1) References in this Act to capital expenditure and capital sums—

(*a*) in relation to the person incurring the expenditure or paying the sums, do not include any expenditure or sum which is allowed to be deducted in computing, for the purposes of income tax, the profits or gains of a trade, profession, office, employment or vocation carried on or held by him; and

(*b*) in relation to the person receiving the amounts expended or the sums in question, do not include references to any amounts or sums which fall to be taken into account as receipts in computing the profits or gains of any trade, profession, office, employment or vocation carried on or held by him,

and do not include, in relation to any such person as aforesaid, any expenditure or sum in the case of which a deduction of tax falls or may fall to be made, otherwise than by virtue of the provisions of Part V of this Act relating to charges on capital sums received for patent rights, under Rule 19 or Rule 21 of the General Rules.

(2) Any reference in this Act to the date on which expenditure is incurred shall be construed as a reference to the date when the sums in question become payable.

Interpretation of certain references to various allowances.

65.—(1) In this Act, the expression " exceptional depreciation allowance " means an allowance made under section nineteen of the Finance Act, 1941, the expression " mills, factories or exceptional depreciation allowances " means any allowance made under section fifteen of the Finance Act, 1937, or any exceptional depreciation allowances, and the expression " scientific research allowance " means an allowance made under section twenty-eight or section twenty-nine of the Finance Act, 1944.

(2) Any reference in this Act to the relevant exceptional depreciation allowances shall be construed, in relation to any building, machinery or plant, as a reference to an exceptional depreciation allowance in respect of that building, machinery or plant, or to so much of any exceptional depreciation allowance granted in respect of any building, machinery or plant of which it forms part as is properly attributable to it.

(3) Any reference in this Act to the relevant mills, factories or exceptional depreciation allowances shall be construed, in

PART VIII. —*cont.* relation to any building or structure, as a reference to any allowances granted under section fifteen of the Finance Act, 1937, in respect of it or premises of which it forms part, and any relevant exceptional depreciation allowances:

Provided that where an allowance under the said section fifteen was in respect of premises which include several buildings or structures, the whole amount of the allowance under the said section fifteen shall be apportioned between all the buildings or structures, and only that part of the allowance which is apportioned to the building or structure in question shall be taken into account.

(4) Any reference to the allowance made under the said section fifteen for any year of assessment shall be construed as a reference to an amount which, under the said section fifteen, is to be allowed as a deduction in computing profits or gains for that year of assessment.

(5) Any reference in this Act to an allowance made or deduction allowed includes a reference to an allowance or deduction which would be made or allowed but for an insufficiency of profits or gains, or other income, against which to make it.

Subsidies, etc. **66.**—(1) Expenditure shall not be regarded for any of the purposes of this Act as having been incurred by any person in so far as it has been or is to be met directly or indirectly by the Crown or by any government or public or local authority, whether in the United Kingdom or elsewhere, or by any person other than the first-mentioned person:

Provided that, in considering whether any, and, if so, what, balancing charge is to be made on a person under Part II of this Act in respect of any machinery or plant provided before the appointed day, this section shall not apply.

(2) In considering, for the purposes of subsection (1) of this section, and of any other provision of this Act referring to expenditure met or to be met directly or indirectly by the Crown or by any authority or person other than the person incurring the expenditure, how far any expenditure has been or is to be so met, there shall be left out of account—

(*a*) any insurance moneys or other compensation moneys payable in respect of any asset which has been demolished, destroyed or put out of use; and

(*b*) any expenditure met or to be met by any person other than the Crown or a government or public or local authority, being expenditure in respect of which, apart from the provisions of this paragraph, no allowance could be made under the provisions of the next succeeding subsection.

Part VIII. —cont.

(3) Where, on or after the appointed day, a person, for the purposes of a trade carried on or to be carried on by him or by a tenant of land in which he has an interest, contributes a capital sum to expenditure on the provision of an asset, being expenditure which, apart from the provisions of subsection (1) of this section, would have been regarded as wholly incurred by another person and in respect of which, apart from the said provisions, an allowance would have been made under Part I, Part II, Part III or Part IV of this Act, then, subject to the provisions of the Third Schedule to this Act, such initial and annual allowances, if any, shall be made to the contributor as would have been made to him if his contribution had been expenditure on the provision, for the purposes of that trade, of a similar asset.

In this subsection and in the said Schedule, the expression " trade " includes husbandry and the occupation of woodlands in the United Kingdom in respect of which an election is in force for assessment and charge to tax under Schedule D by virtue of the provisions of the Rules applicable to Schedule B, and the expression " annual allowance " includes an allowance under Rule 6 of the Rules applicable to Cases I and II of Schedule D and an allowance under section thirty-three of this Act.

Computation of expenditure for purposes of Rule 8 of No. V of Schedule A.

67. In computing, for the purposes of Rule 8 of No. V of Schedule A, the cost to any person of maintenance, repairs, insurance and management, there shall be left out of account any expenditure incurred by him on or after the appointed day, in so far as it has been or is to be met directly or indirectly by the Crown or by any government or public or local authority, or by any person other than the first-mentioned person.

Other provisions as to interpretation.

68.—(1) In this Act, except where the context otherwise requires—

" the appointed day " means, in Part VI of this Act, the day determined by Parliament for the purposes of Part IV of the Finance Act, 1944, and, in any other provision of this Act, such day as Parliament may hereafter determine for the purposes of that provision;

" control ", in relation to a body corporate, means the power of a person to secure, by means of the holding of shares or the possession of voting power in or in

PART VIII. —*cont.*

relation to that or any other body corporate, or by virtue of any powers conferred by the articles of association or other document regulating that or any other body corporate, that the affairs of the first-mentioned body corporate are conducted in accordance with the wishes of that person, and, in relation to a partnership, means the right to a share of more than one half of the assets, or of more than one half of the income, of the partnership;

" foreign concession " means a right or privilege granted by the government of, or any municipality or other authority in, any territory outside the United Kingdom;

" income " includes any amount on which a charge to tax is authorised to be made under any of the provisions of this Act;

" lease " includes an agreement for a lease where the term to be covered by the lease has begun, and any tenancy, but does not include a mortgage, and " lessee," " lessor " and " leasehold interest " shall be construed accordingly;

" mineral deposits " includes any natural deposits capable of being lifted or extracted from the earth;

" sale, insurance, salvage or compensation moneys " mean, in relation to an event which gives rise or might give rise to a balancing allowance or a balancing charge to or on any person, or is material in determining whether any, and, if so, what, annual allowance is to be made to a person under Part III of this Act,—

(*a*) where the event is a sale of any property, the net proceeds to that person of the sale;

(*b*) where the event is the coming to an end of an interest in property on or by reason of the coming to an end of a foreign concession, any compensation payable to that person in respect of that property;

(*c*) where the event is the demolition or destruction of any property, the net amount received by him for the remains of the property, together with any insurance moneys received by him in respect of the demolition or destruction and any other compensation of any description received by him in respect thereof, in so far as that compensation consists of capital sums; and

PART VIII. —*cont.*

(*d*) where the event is that a building or structure ceases altogether to be used or that machinery or plant is put out of use, any compensation of any description received by him in respect of that event, in so far as that compensation consists of capital sums.

(2) Any reference in this Act to any building, structure, machinery, plant, works, asset, farm house, farm or forestry building, cottage or fence shall be construed as including a reference to a part of any building, structure, machinery, plant, works, asset, farm house, farm or forestry building, cottage or fence:

Provided that where the reference is expressed to be to the whole of a building or structure, this subsection shall not apply.

(3) Any reference in this Act or in subsection (2) of section twenty-nine of the Finance Act, 1944, to the time of any sale shall be construed as a reference to the time of completion or the time when possession is given, whichever is the earlier.

(4) Any reference in this Act to the setting up or permanent discontinuance of a trade includes, except where the contrary is expressly provided, a reference to the occurring of any event which, under any of the provisions of the Income Tax Acts, is to be treated as equivalent to the setting up or permanent discontinuance of a trade.

(5) Any reference in this Act or in Part IV of the Finance Act, 1944, to the overlapping of two periods shall be construed as including a reference to the coincidence of two periods or to the inclusion of one period in another, and references to the period common to both of two periods shall be construed accordingly.

(6) Except where the contrary is expressly provided or the context otherwise requires, any reference in this Act to any provision of any other Act shall be construed as a reference to that provision as amended by or under any other enactment, including this Act.

69. In the application of this Act to Scotland, the expression " leasehold interest " means the interest of a tenant in property subject to a lease, and any reference to an interest which is reversionary on a leasehold interest or to a lease shall be construed as a reference to the interest of the landlord in property subject to the leasehold interest or lease. Application to Scotland.

70. This Act may be cited as the Income Tax Act, 1945, and shall be construed as one with the Income Tax Acts. Short title and construction.

SCHEDULES.

Section 27.

FIRST SCHEDULE.

APPLICATION OF PART III TO EXPENDITURE BEFORE THE APPOINTED DAY.

PART I.

PRELIMINARY.

1. The amount of expenditure which a person who, on the appointed day, is carrying on a trade which consists of or includes the working of a mine, oil well or other source of mineral deposits of a wasting nature is to be treated for certain purposes of Part III of this Act as having incurred on that day shall, except in the cases dealt with in Part III of this Schedule, be the amount specified in Part II thereof.

2. In the subsequent provisions of this Schedule, the said expenditure is referred to as " the appointed day expenditure " and the said person is referred to as " the trader ".

PART II.

PROVISIONS APPLICABLE WHERE PART III OF THIS SCHEDULE DOES NOT APPLY.

3. Except in cases to which Part III of this Schedule applies, the amount of the appointed day expenditure shall be ascertained by—

(*a*) ascertaining the total expenditure to which Part III of this Act applies which was incurred by the trader before the appointed day for the purposes of the trade and in connection with the source ; and

(*b*) subtracting therefrom the amounts specified in paragraph 4 of this Schedule ; and

(*c*) applying the fraction specified in paragraph 5 of this Schedule to the result.

4. The said amounts are—

(*a*) where any asset representing any part of the expenditure incurred by the trader as aforesaid before the appointed day has, before the appointed day, been sold by him, the amount of the expenditure so incurred which is attributable to that asset ; and

(*b*) where the assets representing the expenditure so incurred, not being assets sold by the trader before the appointed day, consist of or include buildings or structures, any relevant mills, factories or exceptional depreciation allowances made in respect of the buildings or structures for any year of assessment before that in which the appointed day falls.

5. The said fraction is the fraction of which— 1ST SCH. —*cont.*

(*a*) the numerator represents the total potential future output from the source, estimated as at the appointed day; and

(*b*) the denominator represents the sum of the total output from the source before the appointed day and the said total potential future output.

PART III.

PROVISIONS APPLICABLE IN CERTAIN CASES WHERE ASSETS HAVE BEEN PURCHASED FROM A PREDECESSOR.

6.—(1) Where, at or about the time when the trader began to work the source, he acquired from a predecessor in the working of the source, assets representing expenditure to which Part III of this Act applies incurred by that or any other predecessor in the working of the source, the amount of the appointed day expenditure shall be whichever of the amounts respectively specified in the two next succeeding paragraphs is the smaller.

(2) In this and the subsequent provisions of this Part of this Schedule, the expression "predecessor in the working of the source" means a person who has, before the appointed day, carried on a trade which consisted of or included the working of the source but has, before that day, ceased to work it.

(3) In the subsequent provisions of this Part of this Schedule, the assets mentioned in sub-paragraph (1) of this paragraph are referred to as "the acquired assets".

7.—(1) The first of the amounts mentioned in the last preceding paragraph is the amount which results from—

(*a*) ascertaining the total expenditure to which Part III of this Act applies which was incurred either on the acquired assets by any predecessor in the working of the source for the purposes of his trade and in connection with that source or by the trader for the purposes of his trade and in connection with the source; and

(*b*) subtracting therefrom the sums specified in sub-paragraph (2) of this paragraph; and

(*c*) applying to the result the fraction specified in sub-paragraph (3) of this paragraph.

(2) The said sums are—

(*a*) where any of the acquired assets have before the appointed day been sold by the trader, so much of the said expenditure incurred by any predecessor in the working of the source as is attributable to that asset;

(*b*) where any asset representing any part of the expenditure incurred by the trader as aforesaid before the appointed day has, before the appointed day, been sold by him, the amount of that expenditure which is attributable to that asset; and

(*c*) where any of the acquired assets or any asset representing any such expenditure as aforesaid of the trader consists of buildings or structures (not being buildings or structures

1st Sch. —*cont.*

sold by the trader before the appointed day), any relevant mills, factories or exceptional depreciation allowances made in respect of the buildings or structures for any year of assessment before that in which the appointed day falls.

(3) The said fraction is the fraction of which—

(*a*) the numerator represents the total potential future output from the source, estimated as on the appointed day; and

(*b*) the denominator represents the sum of the total output from the source before the appointed day and the said total potential future output.

8.—(1) The second of the said amounts is the amount which results from—

(*a*) adding the price paid by the trader for the acquired assets to all the expenditure to which Part III of this Act applies which he incurred for the purposes of the trade and in connection with the source between the time when he acquired those assets and the appointed day; and

(*b*) subtracting from the total the sums specified in sub-paragraph (2) of this paragraph; and

(*c*) applying to the result the fraction specified in sub-paragraph (3) of this paragraph.

(2) The said sums are—

(*a*) where any asset representing the expenditure mentioned in paragraph (*a*) of sub-paragraph (1) of this paragraph has, before the appointed day, been sold by the trader, the amount of that expenditure which is attributable to that asset; and

(*b*) where any of the acquired assets has, before the appointed day, been sold by the trader, the price paid by the trader for the asset; and

(*c*) where the assets representing that expenditure, not being assets sold by the trader before the appointed day, consist of or include buildings or structures, any relevant mills, factories or exceptional depreciation allowances made to him in respect of the buildings or structures for any year of assessment before that in which the appointed day falls.

(3) The said fraction is the fraction of which—

(*a*) the numerator represents the total potential future output of the source, estimated as at the appointed day; and

(*b*) the denominator represents the sum of the total output from the source between the date of the acquisition of the acquired assets and the appointed day and the said total potential future output.

SECOND SCHEDULE.

Section 37.

EFFECT OF DEATHS, WINDINGS UP AND PARTNERSHIP CHANGES ON CERTAIN CHARGES IN RESPECT OF PATENT RIGHTS.

1. Where a person on whom, by reason of the receipt of a capital sum, a charge falls or would otherwise fall to be made under the principal section dies or, being a body corporate, commences to be wound up—

(*a*) no sums shall be charged under the principal section on that person for any year subsequent to that in which the death takes place or the winding up commences; and

(*b*) the amount falling to be charged for the year in which the death occurs or the winding up commences shall be increased by the total amounts which, but for the death or winding up, would have fallen to be charged for subsequent years:

Provided that, in the case of a death, the personal representatives may, by notice in writing served on the surveyor not later than twenty-one days after notice has been served on them of the charge falling to be made by virtue of this paragraph, require that the income tax (including surtax) payable out of the estate of the deceased by reason of the increase provided for by this paragraph shall be reduced so as not to exceed the total amount of income tax (including surtax) which would have been payable by him or out of his estate by reason of the operation of the principal section in relation to that sum, if, instead of the amount falling to be charged for the year in which the death occurs being increased by the whole amount of the sums charged for subsequent years, the several amounts falling to be charged for the years beginning with that in which the capital sum was received and ending with that in which the death occurred had each been increased by the said whole amount divided by the number of those years.

2. Where, under the provisions of Part VIII of this Act relating to partnerships, a charge under the principal section falls to be made on two or more persons jointly as being the persons for the time being carrying on a trade, and that trade is discontinued, the provisions of paragraph 1 of this Schedule shall have effect in relation to the discontinuance as they have effect where a body corporate commences to be wound up:

Provided that—

(*a*) the additional sum which, under the said paragraph, falls to be charged for the year in which the discontinuance occurs shall be apportioned among the members of the partnership immediately before the discontinuance, according to their respective interests in the partnership profits before the discontinuance, and each partner (or, if he is dead, his personal representatives) charged separately for his proportion; and

(*b*) each of the partners, or, if he is dead, his personal representatives, shall have the same right to require a reduction of the total income tax (including surtax) payable by him

2ND SCH. —*cont.*

or out of his estate by reason of the increase as would have been exercisable by the personal representatives under the said paragraph 1 in the case of a death, and the proviso to the said paragraph shall have effect accordingly, but as if references to the amount of income tax (including surtax) which would have been payable by the deceased or out of his estate in the event therein mentioned were a reference to the amount of income tax (including surtax) which would in that event have fallen to be paid or borne by the partner in question or out of his estate.

3. In this Schedule, any references to the income tax (including surtax) paid or borne or payable or falling to be paid or borne by a person include, in cases where the profits of a wife are deemed to be the profits of the husband, references to the income tax (including surtax) paid or borne, or payable or falling to be paid or borne, by his wife or her husband, as the case may be.

Section 66.

THIRD SCHEDULE.

SUPPLEMENTARY PROVISIONS AS TO ALLOWANCES FOR CONTRIBUTIONS TOWARDS THE EXPENDITURE OF OTHER PERSONS.

1. Subject to the provisions of this Schedule, the amount of the allowances and the manner in which they are to be made shall be determined on the following basis—

(*a*) the asset shall be deemed to continue at all material times to be in use for the purposes of the trade;

(*b*) where the asset is machinery or plant and, when the contribution was made, the trade was carried on or to be carried on by a tenant of land in which the contributor has an interest, the contributor shall be deemed to have let the machinery or plant to the said tenant on such terms that the burden of the wear and tear thereof falls directly on the contributor.

2. Where, when the contribution was made, the trade for the purposes of which it was made was carried on or to be carried on by the contributor, the following provisions shall have effect on any transfer of the trade or any part of the trade—

(*a*) where the transfer is of the whole trade, the annual allowance for the year of assessment in which the transfer takes place and all subsequent years of assessment shall be made to the transferee;

(*b*) where the transfer is of part only of the trade, the provisions of the preceding sub-paragraph shall have effect with respect to so much of the allowance as is properly referable to the part of the trade transferred.

3.—(1) Where, when the contribution was made, the trade was carried on or to be carried on by a tenant of land in which the contributor had an interest, the annual allowance for any year of assessment shall be made to the person who, at the end of that year, is entitled to the contributor's interest in the land, and the provisions of this Act defining, for the purposes of Part I thereof, the expression "the relevant interest" shall, with the necessary modifications, apply in relation to a contribution made for the purposes of a trade carried on or be carried on by a tenant of land as they apply in relation to expenditure incurred on the construction of a building or structure. 3RD SCH. —*cont.*

(2) Subsection (2) of section two of this Act (which relates to the effect of sales on the amount of annual allowances) shall not apply in relation to annual allowances to be made in respect of contributions.

4. The two last preceding paragraphs shall not apply where the trade is husbandry in the United Kingdom or the occupation of woodlands in the United Kingdom, and in lieu thereof the provisions of subsection (4) of section thirty-three of this Act (which relate to the effect of transfers of land) shall apply with any necessary modifications.

CHAPTER 33.

Town and Country Planning (Scotland) Act, 1945.

ARRANGEMENT OF SECTIONS.

PART I.

TOWN AND COUNTRY PLANNING.

Areas of extensive war damage: acquisition of land, and grants towards expenses of acquisition and clearing.